

☑ Value Research

Wealth Insight

August 2026

₹150

The Smart Investor's Stock Guide

5 strategies to



PROFIT

in any market

Sector Playbook 12
Inside the
pharma engine

Analyst's Diary 28
A decade late,
a lot riskier

Alphanso 64
The economics of
a weakening rupee

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HDFC MID CAP FUND

1 Lac cr.* AUM
as it enters its **20th Year**

Inception date: 25th June, 2007

*AUM as on 30th June, 2026 is ₹ 1,00,858 Crore

For detailed Mutual Fund AUM disclosures,
please visit: <https://www.hdfcfund.com/statutory-disclosure/aum>

Contact your MFD / RIA or give a missed call on **73974 12345**

HDFC Mid Cap Fund

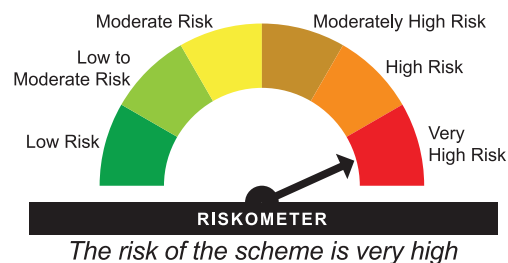
(An open ended equity scheme predominantly investing in mid cap stocks) is suitable for investors who are seeking*:

- To generate long-term capital appreciation / income
- Investment predominantly in Mid-cap companies

*Investors should consult their financial advisers, if in doubt about whether the product is suitable for them.

For latest Riskometer, investors may refer to the Monthly Portfolios disclosed on the website of the Fund viz. www.hdfcfund.com

Riskometer[#]



Scheme Riskometer as on June 30, 2026.

HDFC Mutual Fund: SEBI Registration Number: MF/044/00/6

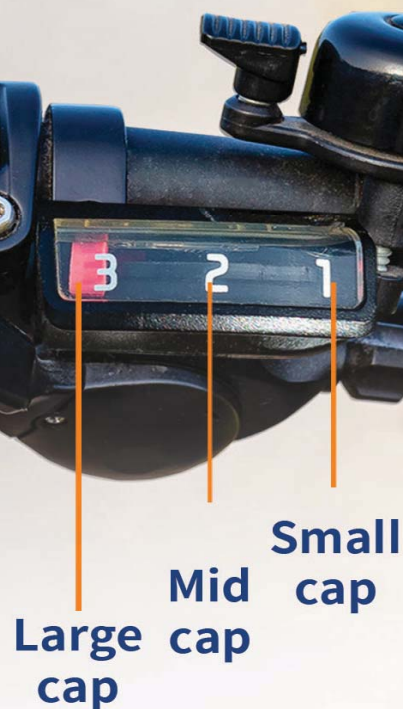
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Invest in Mirae Asset Flexi Cap Fund (MAFCF)

[^]Large Cap: 1st -100th company in terms of full market capitalization. Mid Cap: 101st -250th company in terms of full market capitalization.
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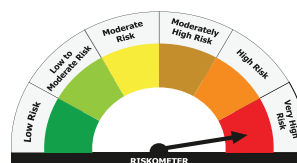
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Mirae Asset Flexi Cap Fund (An open-ended dynamic equity scheme investing across large cap, mid cap, small cap stocks) **is suitable for investors who are seeking***

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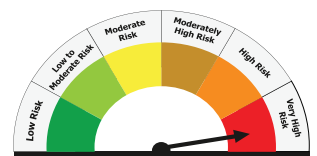
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Scheme Riskometer



The risk of the scheme is Very High

Scheme Benchmark: (As per AMFI Tier 1 Benchmark)
NIFTY 500 TRI
Benchmark Riskometer



The risk of the benchmark is Very High

Mirae Asset Mutual Fund: MF/055/07/03

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

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The goal of Wealth Insight, as with all publications from Value Research, is not just limited to generating profitable ideas for its readers, but to also help them in generating a few of their own. We aim to bring independent, unbiased and meticulously-researched stories that will help you in taking better-informed investment decisions, encouraging you to indulge in a bit of research on your own as well.

All our stories are backed by quantitative data. To this, we add rigorous qualitative research obtained by speaking to a wide variety of stakeholders. We firmly stick to our belief of fundamental research and value-oriented approach as the best way to earn wealth in the stock market. Equally important to us is our unwaveringly focus on long-term planning.

Simplicity is the hallmark of our style. Our writing style is simple and so is the presentation of ideas, but that should not be construed to mean that we oversimplify.

Read, learn and earn and let's grow and evolve as we undertake this voyage together.

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32 | COVER STORY

5 strategies to

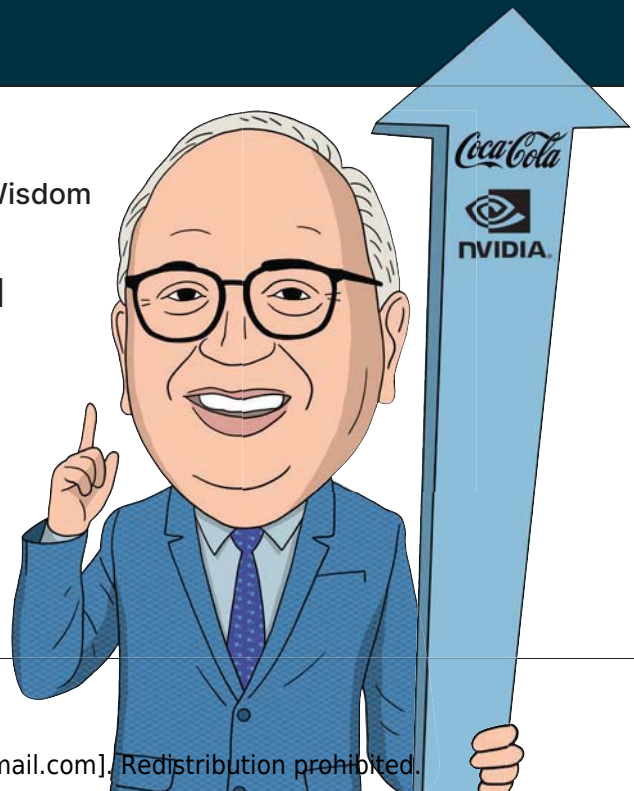
PROFIT

in any market

20 | Words Worth Wisdom

Nvidia, Coca-Cola and the growth paradox

Samir Arora
Founder and Group CIO
Helios Capital



Contents

7 | First Page

By **DHIRENDRA KUMAR**

The question you didn't ask

8 | Market Reporter

Newsmakers of the month



10 | Stock Story

Electric dreams

12 | Sector Playbook

How the machine runs

14 | Big Moves

The most significant price movements

17 | ABCD ETF

The portfolio that never feels right

18 | Macro Watch

Where the economy stands

19 | Market Barometer

Temperature check



22 | Analyst's Diary

- **Prognosis? Improving**
- **BoB's trust deficit**
- **Inside every air conditioner**
- **A decade late**



30 | Home Buyers' Guide

Cheap cover, costly neglect

50 | Index Investor

- **India is spending more**
- **The invoice that AI rewrites**

66 | End Note

A 100-bagger story

54 | Stock Advisor

By **DHIRENDRA KUMAR**

Taming the market keeda



ALPHANSO

56

By **ANAND TANDON**

Rethinking the 2nd innings



59

By **ASHISH MENON**

The multibagger paradox



62

By **MOHAMMED EKRAMUL HAQUE**

Dangers of chasing the next Amazon or Tesla



64

By **ADVAIT ARORA**

Why ₹9 became ₹96



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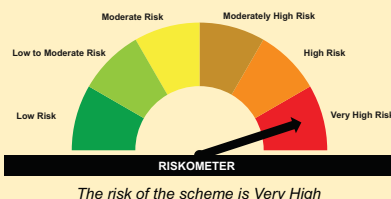
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The question you didn't ask

▶ Why the best investors check lists, not just conviction

The next time you take a flight, the safest part of the journey will have happened before the aircraft moved. Two pilots will have sat in the cockpit reading a list aloud to each other, one calling out items and the other confirming, in an activity which is absolutely routine. Nothing on the list is difficult, and both have done it hundreds of times. That small ritual is among the main reasons flying is as safe as it is, and I want to make the case that the same principle belongs in your investing.

This exercise of checking whether a list exists dates back to an accident in 1935. The American Army was testing Boeing's entry for its next long-range bomber. The aircraft took off, climbed a few hundred feet and then fell back to earth, killing its pilot, who happened to be the army's chief of flight testing. The investigation found nothing wrong with the machine; the pilot had forgotten to release a small mechanism that locks the control surfaces while an aeroplane is on the ground. The army's response is the interesting part: it did not order more training, because nothing could be added to the training of the man who had just died. A few pilots wrote out that list instead. The technique became a standard in many fields (including surgery) not because it taught anyone anything, but because knowing something and remembering to ask at the right time are different things.

This is the actual case for using a framework in investing. The usual argument is that a framework makes you a better analyst, which I doubt. A framework is

something you build when calm and consult when you are not. It settles what counts as evidence before a stock has had the chance to charm you. Judging one company at a time means making that judgement fresh each time, but a framework does something much better.

You can see what happens without one: people rarely fail on the thing they examined. Castrol India passes every quality test anyone could set, and yet, it has gone nowhere for a decade because its market has stopped growing. The investors who piled into momentum names in recent years had growth and price action and no quality underneath, which is why those stocks fell hardest when the mood turned. HDFC Bank is the most instructive: quality and growth both present and sustained for nearly two decades, and anyone who bought at six times book in 2020 has had five flat years. They were not ignorant; they knew the bank intimately. The price had already accounted for everything the bank would deliver, and the question that would have saved them was the dull one nobody thought to ask.

In almost every investing disaster I can think of, three of the four things were right, and they sounded so good that the fourth and fifth were never thought about. This is what a framework is for, and its job is simple: not insight, but completeness. It forces you to ask the dull questions when you feel like focusing only on the interesting ones.

Which is what this issue's cover story is about. You will be told endlessly that you must first establish what sort of investor you are: aggressive or conservative, growth chaser or safety seeker. It is a comfortable idea and a useless one, because situations do not consult your temperament before they arrive. Every investor will, at some point, be holding something that fell 40 per cent for reasons that may or may not matter, meets a rally with nothing behind it and a dividend that signals strength or confesses a business has run out of uses for cash.

Our cover story sets out five ways of thinking for those five situations. Read them the way those two pilots read their list: not as a comment on your ability, but as something that ensures.

In nearly every investing disaster, three of the four things were right and sounded so good, that the fourth and fifth were never considered. This is what a framework is for: it forces you to ask the dull questions when you feel like focusing only on the interesting ones.

ECONOMY



Exports hit a record but US shipments stall

India's exports rose 11.4 per cent to a record ₹22.1 lakh crore in the June quarter. But the trade deficit widened to a five-month high of ₹2.9 lakh crore, while exports to the US, India's biggest market, actually fell 1.2 per cent.

● What it means for investors

American tariffs have hurt demand for Indian goods, and even after the tariff rollback, US buyers have not returned. Indian exporters are managing by selling elsewhere: exports to Singapore rose 49 per cent and to China 32 per cent in June. The Middle East conflict pushed up costs, and a bigger trade gap puts pressure on the rupee.

MARKETS



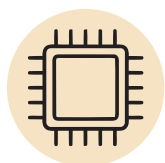
HCL bags ₹10,830 crore AI deal with Fortune 50 giant

HCLTech signed a ₹10,830 crore contract with a Europe-headquartered Fortune Global 50 company to build and run an AI-driven operating model for its global digital workplace and enterprise networks. The deal runs from July 2026 to December 2031.

● What it means for investors

The deal is evidence against the worry about Indian IT. A Fortune 50 firm moved operations to AI and paid an Indian company to do it. The shift to AI was not a threat; it was the reason the contract exists. One deal does not settle the debate for the whole industry, but one of the largest IT contracts of the year was won because of AI, not lost to it.

POLICY



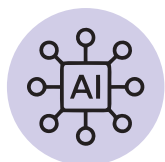
India approves ₹1.27 lakh cr Semicon 2.0 programme

India approved Semicon 2.0, a ₹1.27 lakh crore programme to expand its semiconductor design and manufacturing ecosystem, as part of a wider ₹2.19 lakh crore package of manufacturing and infrastructure decisions.

● What it means for investors

It aims to promote self-reliance across the entire chip value chain, from design to fabs to raw materials. The beneficiaries stretch well beyond fab builders: companies setting up chip assembly, electronics manufacturers that will consume locally made chips, and cleanroom-engineering suppliers that fabs cannot run without.

GLOBAL



IBM shows AI spending is diverting enterprise budgets

IBM's recent management commentary indicated that global enterprises are redirecting technology budgets towards AI infrastructure such as servers and memory chips, delaying spending on software, consulting and legacy IT.

● What it means for investors

The AI boom has a bill. Enterprise technology spending is not growing fast enough to fund everything, so every marginal dollar going into servers, chips and memory is a dollar pulled from software and services. Firms are rushing to buy hardware ahead of expected price rises, while conventional IT projects are told to wait.



Equity

All three instruments playing in balanced harmony



Debt

A scheme that harmonises the portfolio by allocating between Equity, Debt and Gold & Silver Exchange Traded Funds (ETFs) like a finely tuned orchestra to navigate market rhythm and seek balanced growth opportunities.



Gold and Silver ETFs

CANARA ROBECO MULTI ASSET ALLOCATION FUND

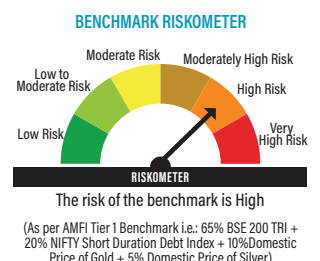
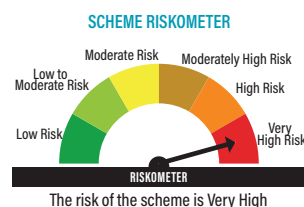
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For details, refer the Scheme Information Document (SID) of the Scheme available at www.canararobeco.com.



Electric dreams

How Apar Industries moved from commodity conductors to the specialised side of India's power grid



Vinayak Pathak/AI-generated image

India's power story has always promised abundance. But for decades, the companies feeding that ambition fought in overcrowded markets, selling similar products to price-sensitive government buyers. Apar Industries began as one more player in that world.

Founded in 1958 as a conductor maker, Apar built the basic metal wires that carry electricity across power grids. It was an unglamorous business buried deep inside India's industrial plumbing. Over time, it expanded into transformer oils and power cables, positioning itself across the transmission chain. Today, conductors still account for roughly half its revenue, with the rest split between cables and oils.

Wired differently

In 2008, Apar sold its polymer business to acquire Uniflex Cables, a move that pushed it beyond bare conductors into insulated cables and gave it a sharper view of India's grid bottlenecks.

Changing currents

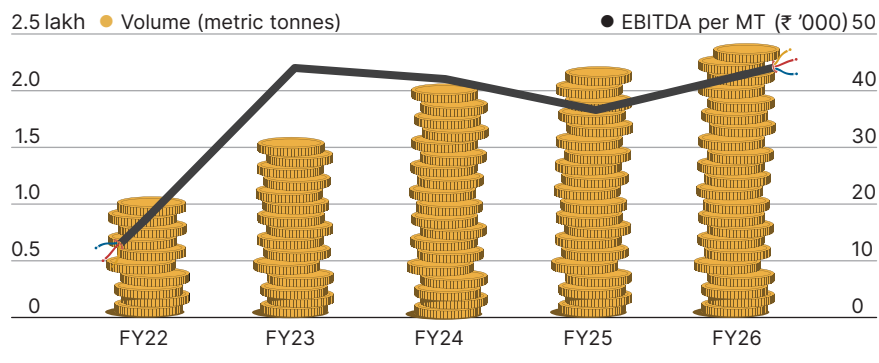
Segment mix by revenue

In %

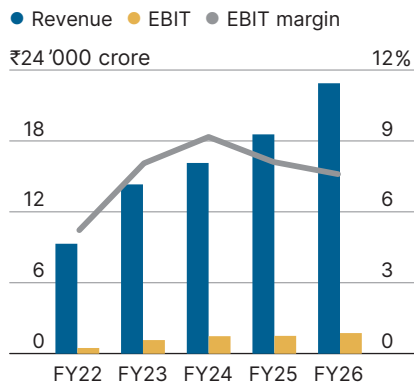
	FY22	FY23	FY24	FY25	FY26
Conductors	 43	 47	 48	 49	 52
Transformer & Speciality Oils	 36	 31	 29	 26	 22
Cables	 20	 22	 23	 25	 26

The conductor upgrade

Operational numbers of the conductor segment



Powering up profitability



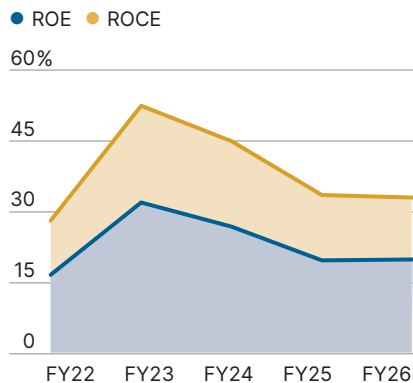
The real problem, Apar realised, was not generating electricity but moving it. But building new transmission lines meant buying land, securing approvals and waiting for years. So utilities looked for a quicker fix: use existing towers but replace old conductors with better ones.

That is where AL-59 came in. This alloy could carry more power without needing new lines. Apar had seen this opportunity early and spent years building the capabilities needed to make such conductors. So when utilities began upgrading their networks, Apar was ready. That created a long replacement cycle with far better economics than commodity conductors. By FY25, the conductor and cable revenue had more than tripled over four years.

Riding the grid

Apar applied the same logic elsewhere. As India's power infrastructure expanded, utilities

Returns from reinvention



shifted towards copper transposed conductors for high-capacity transformers. Apar was already prepared. By FY22, premium products contributed nearly half its conductor revenue, while operating profit per tonne rose from less than ₹8,000 a decade earlier to over ₹44,000 in FY23.

Cables followed the same arc. Apar invested early in electron beam technology, which improves durability under extreme heat and mechanical stress. That positioned it for demand from solar, wind and railways. The company eventually supplied over 90 per cent of the cables used in Vande Bharat trains and railway safety systems.

Exports came next. Long before overseas sales became meaningful, Apar had secured the certifications needed to enter developed markets. So when US tariffs disrupted Chinese cable imports in 2020, Apar was ready. The US soon became its largest export market while cable export revenue exploded.

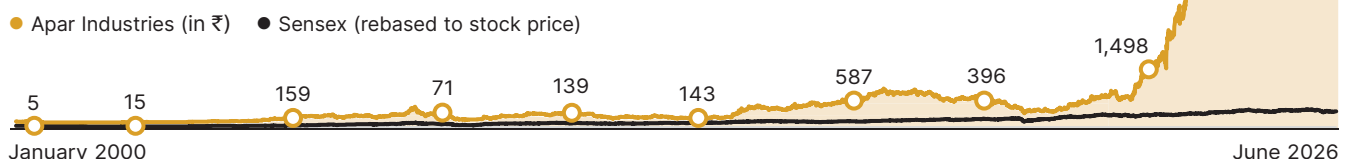
The fluid play

Its transformer oil business evolved quietly alongside. Every transformer relies on specialised oil for cooling and insulation, and Apar supplies roughly two-thirds of India's market. As Europe shifted towards greener infrastructure, the company found demand for biodegradable oils used in offshore wind and floating solar projects. Nearly half of the division's output now goes overseas.

What lies ahead

Apar's rise mirrors a larger shift in India's power sector. It stopped competing merely as a commodity supplier and positioned itself around the bottlenecks of electrification. But the niches it entered early are no longer empty. Smaller rivals are moving in. The question is whether certifications, technical know-how and years of specialised manufacturing experience will be enough to keep Apar ahead. ☒

By Lekisha Katyal



How the machine runs

The doctor, the salesforce and the risks
that can stop a pharma business



In Part 1, we covered why pharma demand is structurally resilient, how India built its global position and the vocabulary every investor needs. In Part 2, we followed the supply chain and looked at the economics of each business model.

What we have not yet covered is how these businesses actually win or lose in the market. A company can have the right molecules and the right manufacturing capability and still underperform if its commercial machine is weak or its regulatory standing is fragile. Part 3 looks into that machine.

The doctor is the actual customer

When a doctor prescribes a medicine, the patient has almost no say in what they buy. They walk out of the clinic with a prescription for a specific brand, take it to the chemist, pay for it and go home. The person who chose the medicine has no financial stake in that choice. The person who paid had no role in making it.

This separation shapes the entire

commercial logic of domestic pharma. A television campaign cannot persuade patients to ask for your brand by name. Discounting cannot win market share because the patient never sees a competing price. The only path to prescription share is reaching the doctor directly, repeatedly and convincingly. Everything else in the domestic commercial model follows from this.

The MR network: Relationships as moat

The instrument for reaching doctors is the Medical Representative (MR). An MR calls on doctors in a defined territory, leaves samples, shares clinical data and builds the familiarity that translates into prescriptions. India has over 80,000 pharma MRs (Indian Pharmaceutical Alliance). Leading domestic companies deploy anywhere from 3,000 to 8,000 each.

This is a genuine moat. When the same MR has called on the same cardiologist every month for 12 years, a trust has been built that a competitor cannot replicate by hiring salespeople. The doctor prescribes by habit. Launching the same molecule tomorrow is easy. Displacing that habit takes years.

Field force productivity is worth watching. Revenue per MR tells you whether a salesforce is working or simply growing. A company that adds MRs without a corresponding rise in revenue is paying for people who are not producing.

India has over
80,000 pharma
MRs. Leading
domestic
companies deploy
anywhere from
3,000 to 8,000
each

Building a chronic franchise

Acute medicines treat a specific illness. The patient takes an antibiotic for a week and stops. The next time they fall ill, they may see a different doctor who prescribes a different brand. There's no continuity. Keeping acute revenue requires constant MR effort, and any lapse shows up almost immediately.

Chronic medicines work differently. When a doctor prescribes a blood pressure medicine and the patient tolerates it well, the doctor rarely changes it. The patient refills every month for years. A single prescription generates revenue long after the MR visit that created it.

This stickiness makes a chronic franchise valuable and hard to enter. Doctors do not change a stable patient's medication without good reason. The advantage of being there first in chronic therapy is real and durable.

A domestic pharma company's chronic revenue share is not just an earnings quality metric. It is a measure of how defensible the business actually is. A company with 70 per cent chronic revenue has relationships that renew quietly every month. One with 70 per cent acute revenue has to earn its revenue afresh every quarter.

Price controls: The ceiling on domestic earnings

The government controls the prices

of medicines listed on the National List of Essential Medicines, or NLEM, through the National Pharmaceutical Pricing Authority, known as NPPA. The NLEM currently covers 384 molecules (Ministry of Health, 2022), representing about 17-18 per cent of the domestic market by value (IQVIA).

For any molecule on the list, a company cannot raise prices beyond the government ceiling regardless of input costs. In 2022, the government periodically expanded the list,



adding several cardiac and diabetes molecules and bringing high-volume chronic products under price control for the first time.

Companies respond by launching products in formulations or therapy areas not yet on the list. This cycle of price control and product innovation around it is a permanent feature of the domestic business. Companies with revenue concentrated in NLEM-covered molecules carry a ceiling on earnings growth that is worth understanding before investing.

Regulatory risk: What can stop a business overnight

Every company manufacturing for the Indian market requires approval from the Central Drugs Standard Control Organisation, or CDSCO. Every company exporting to the United States requires approval from the US Food and Drug Administration, or FDA. These are not one-time clearances. Plants must maintain standards continuously across every batch and inspection.

When the FDA inspects a plant and finds issues, it issues a Form 483, a list of observations the company must address. A Warning Letter is more serious, signalling significant violations that must be corrected before the agency approves new products from that plant. The most severe outcome is an Import Alert, which blocks all products from that plant from entering the US market. Resolution has no fixed timeline. It can take months or years.

A plant generating hundreds of crores in annual US revenue can lose that access overnight with no warning. Companies where a large share of US revenue comes from one manufacturing site carry the most concentrated exposure.

For investors following companies with significant US businesses, plant inspection histories are worth checking on a regular basis.

The final word

Pharma rewards the investor who understands it. We have covered the demand structure, the supply chain, the business models, and the commercial and regulatory forces that shape outcomes.

But this series is still on the surface. How to read a pharma balance sheet, how to evaluate a drug pipeline, how to assess valuation when earnings can

be disrupted overnight by a regulatory action, none of that is here. Each deserves its own treatment.

Use this as a map at a broad scale. It shows the major landmarks. The closer you look at a company, more details emerge and the questions this series has raised will sharpen into answerable ones. That is exactly where you want to be before you invest. ☒

 Top gainers

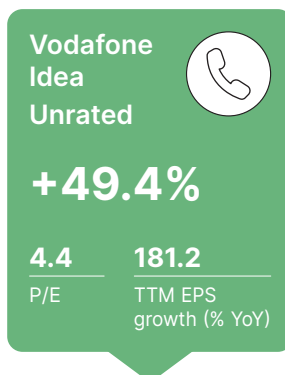
3M returns (%)



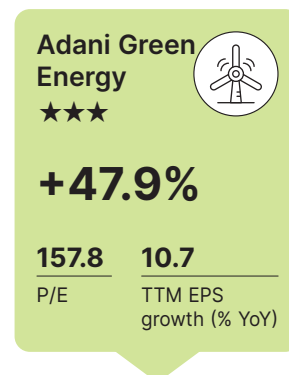
Oracle is rewarded for profitability that most of its IT peers struggle to match. Its March-quarter profit rose 31 per cent to ₹842 crore on record revenue, with margin widening to 51 per cent.



Adani Enterprises' ₹15,000 crore QIP drew bids worth nearly ₹38,000 crore. Proceeds will fund its airport, energy, road and copper businesses, repay debt and strengthen the balance sheet.



Vodafone's balance-sheet stress eased after DoT revised AGR dues down to ₹64,046 crore. Promoter equity infusion and four months of subscriber additions signalled early stabilisation.



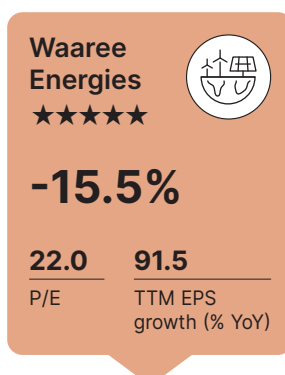
Adani's business is scaling fast. Its Q4 profit rose sharply on higher power sales, and its roadmap to expand capacity from 19.3 GW to 50 GW by 2030 anchors the long-term growth case.

 Top losers

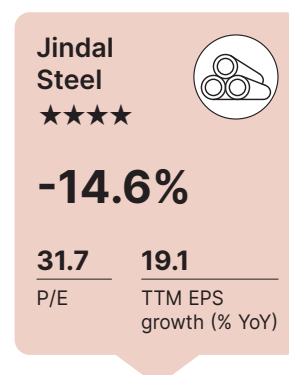

HCL faces AI-led pricing deflation in traditional services. Its Q1 FY27 constant-currency revenue fell sequentially and grew 2.6 per cent year-on-year, raising questions about earnings durability.



Muthoot is under pressure as falling gold prices reduce collateral value, denting confidence across NBFCs. A sequential decline in gold tonnage and higher provisions added to caution.



Waaree Energies faces margin pressure as capacity additions squeeze solar module pricing. The US Customs also found misreported country-of-origin data on some cell imports.

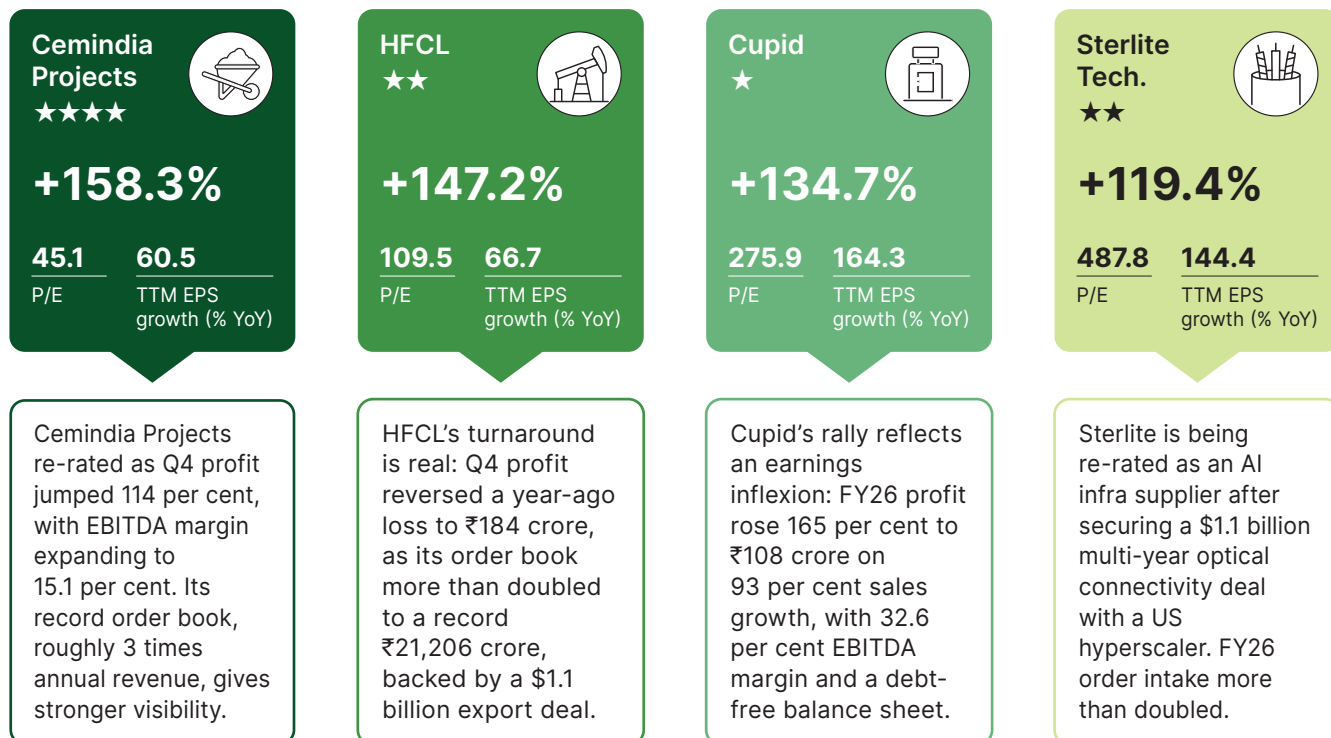


Jindal Steel is caught in a broader metal-sector slump driven by softer commodity prices and FII selling. CEO Gautam Malhotra's resignation, without a named successor, adds uncertainty.

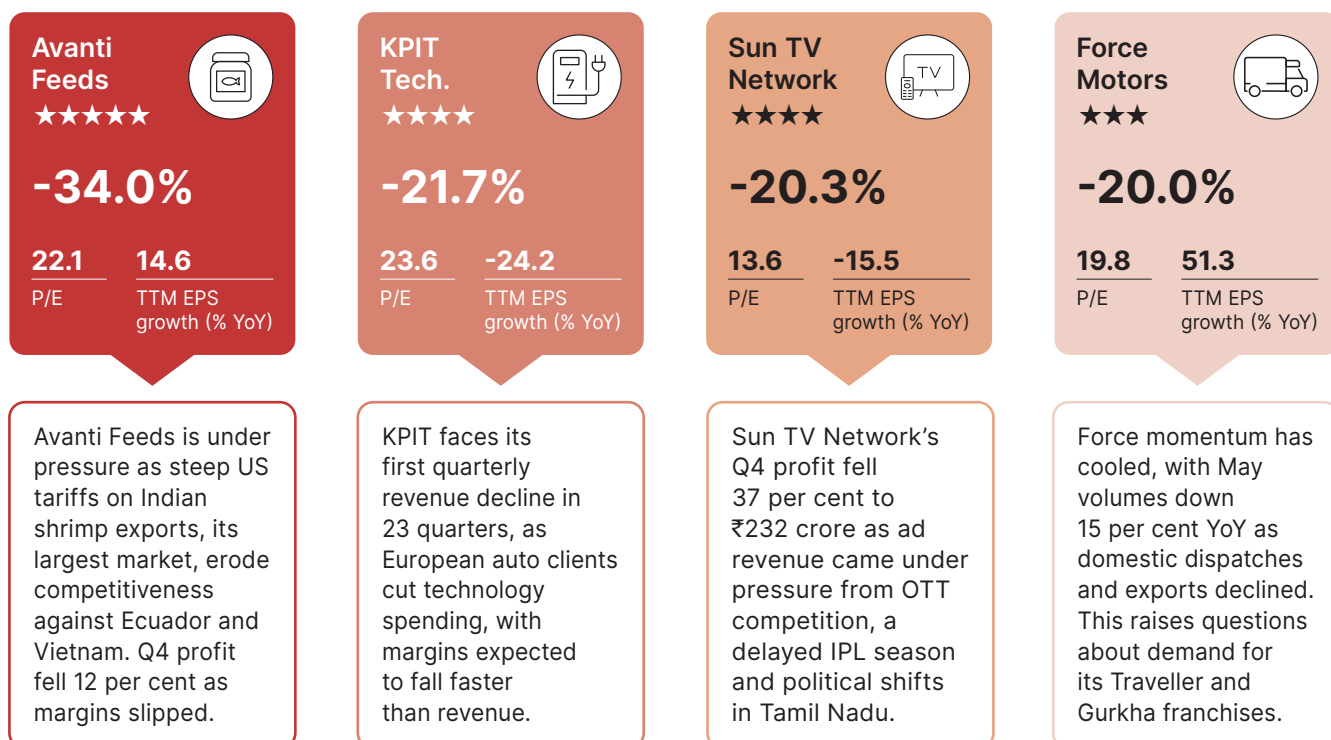
*Price-to-book ratio. Our large-cap universe has 165 large companies, making the top 70 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Data as of July 14, 2026.

Top gainers

3M returns (%)



Top losers



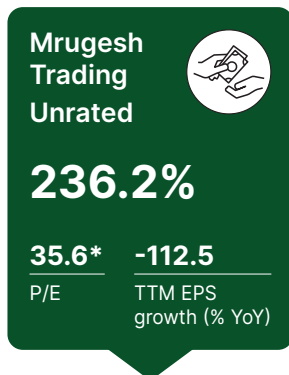
*Price-to-book ratio. Our mid-cap universe has 342 mid-sized companies, making the next 20 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Data as of July 14, 2026.

BIG MOVES

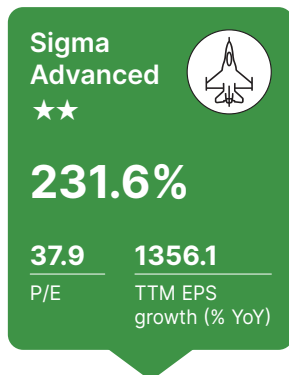
SMALL CAPS

Top gainers

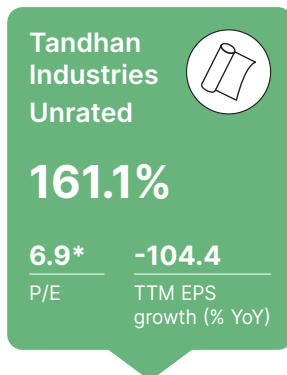
3M returns (%)



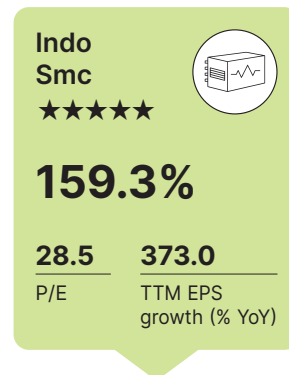
Mrugesh is a thinly traded, revenue-starved entity with negligible business activity. Its multi-fold rally reflects extreme illiquidity and speculation rather than business improvement.



Sigma's rally's grounded in a turnaround: FY26 profit was ₹268 crore from a year-ago loss, backed by a \$22 million export order and acquisition of UK-based Bromford Precision.

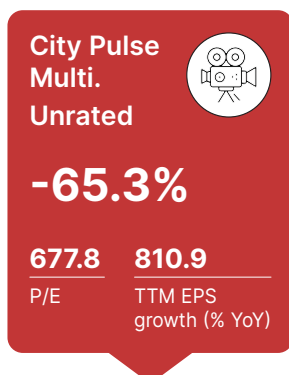


Tandhan is a micro-cap trading and facility-services company with negligible earnings. Its sharp rally appears driven by thin float and retail momentum rather than fundamentals.



Indo's rally is backed by real operating momentum: H2 FY26 revenue jumped 186 per cent, EBITDA rose 283 per cent and PAT margin jumped 10.6 per cent, on a ₹237 crore order book.

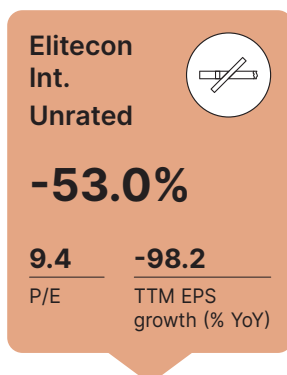
Top losers



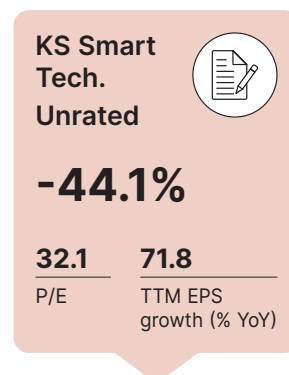
City Pulse is a micro-cap multiplex and film operator with quarterly revenue of about ₹2 crore. Its sharp fall looks like profit booking after an extreme rally, not a business change.



National Standard (India), a near-dormant Lodha Developers subsidiary awaiting NCLT approval for merger into the parent. Its decline looks like a natural correction.



Elitecon's collapse follows a SEBI order flagging inflated revenue, misleading disclosures and price manipulation, with ₹51.3 crore in illegal gains impounded. A forensic audit is now in place.



KS Smart, formerly Soma Papers & Industries, is a small paper and packaging company. Its decline looks like a natural correction after a sharp rally, with no specific setback disclosed.

*Price-to-book ratio. Our small-cap universe (minimum market capitalisation of ₹747 crore) has 1,176 small-cap companies, making the bottom 10 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Data as of July 14, 2026.

The portfolio that never feels right

A colleague's fund doubled last year. A relative moved into a sector scheme just before it ran. Someone always seems to be in the right place. For some investors, the real challenge is not the market itself but the constant sense that everyone else is **ahead**.



When investing becomes a comparison, decisions follow sentiment rather than goals. Funds get switched, new positions added, based on what recently worked for someone else. The portfolio keeps changing, even when financial goals may have **not**.



Passive funds track a defined index and do not require decisions about which stocks or sectors to favour. The investment follows the market through a rules-based **process**, without adjustment based on what is currently popular or what someone else holds.

When the investment reflects the broad market, there may be less to compare against. The focus may shift from finding a better-performing fund to **staying** invested over time. That shift may make the investing experience easier to sustain.



Passive funds also tend to carry lower expense ratios than actively managed funds. Over time, lower **costs** may support the overall investment. For investors prone to comparison, a structured, rules-based approach may make it easier to stay invested without being pulled in a different direction..

Investing without the comparison is as easy as...

ABCDEF

Investing in ETF is easy!

Scan the QR code to know more:

SEBI Registered Name: Mirae Asset Mutual Fund | SEBI Registration Number: MF/055/07/03.

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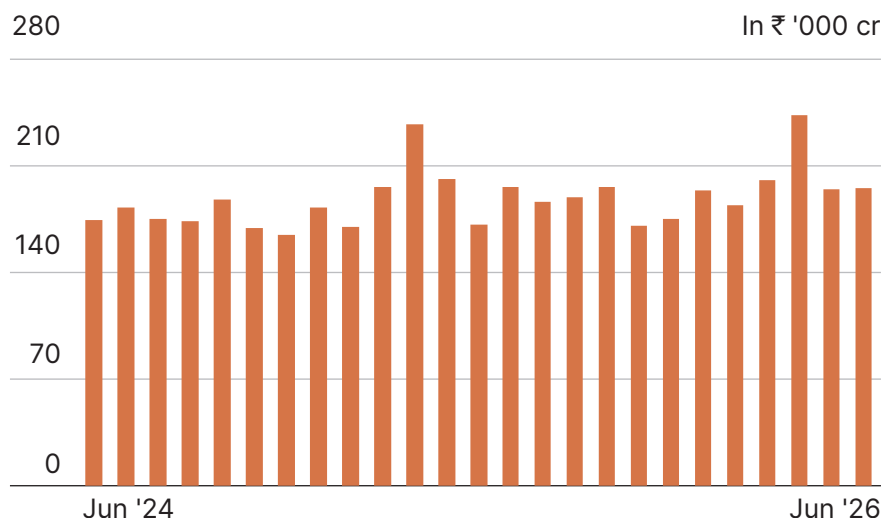
An investor education and awareness initiative by Mirae Asset Mutual Fund. All Mutual Fund investors have to go through a one-time KYC (Know Your Customer) including the process for change in address, Phone number, bank details, etc. Investors should deal only with registered Mutual Funds details of which can be verified on SEBI website (<https://www.sebi.gov.in>) under 'Intermediaries /Market Infrastructure Institutions'. For further information on KYC, RMFs and procedure to lodge a complaint in case of any grievance, you may refer the Knowledge Centre section available on the website of Mirae Asset Mutual Fund. Investors may lodge complaints on <https://www.scores.gov.in> against registered intermediaries if they are unsatisfied with the responses. SCORES facilitate you to lodge your complaint online with SEBI and subsequently view its status.

Mutual fund investments are subject to market risks, read all scheme related documents carefully. You may consult your Financial Advisor or Mutual Fund Distributor before taking investment decisions.

Where the economy stands

A monthly check-up on the Indian economy

GST collection

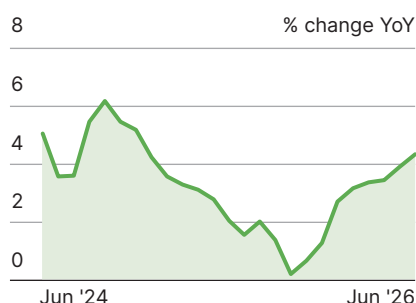


GST collection

₹1.9 lakh cr

has grown 13.9 per cent over June last year, when it stood at ₹1.7 lakh crore

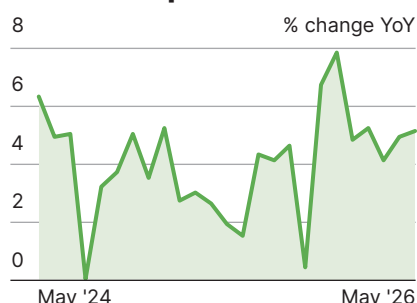
Consumer inflation



CPI
4.38%

Has risen for six straight months from a low of 0.25% in October 2025

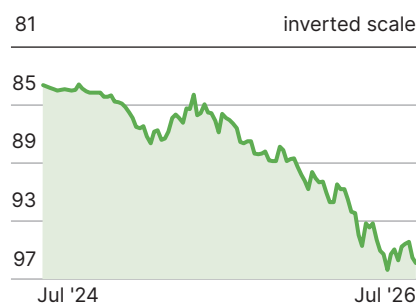
Industrial production



IIP
5.10%

Factory output grew 5.1% in May, extending a recovery from October 2025

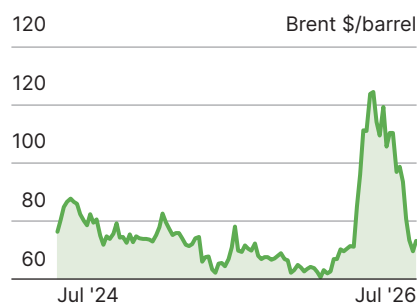
INR vs USD



₹ vs \$
₹96.1

The rupee has slid 11.8 per cent against the dollar over the past year

Crude oil



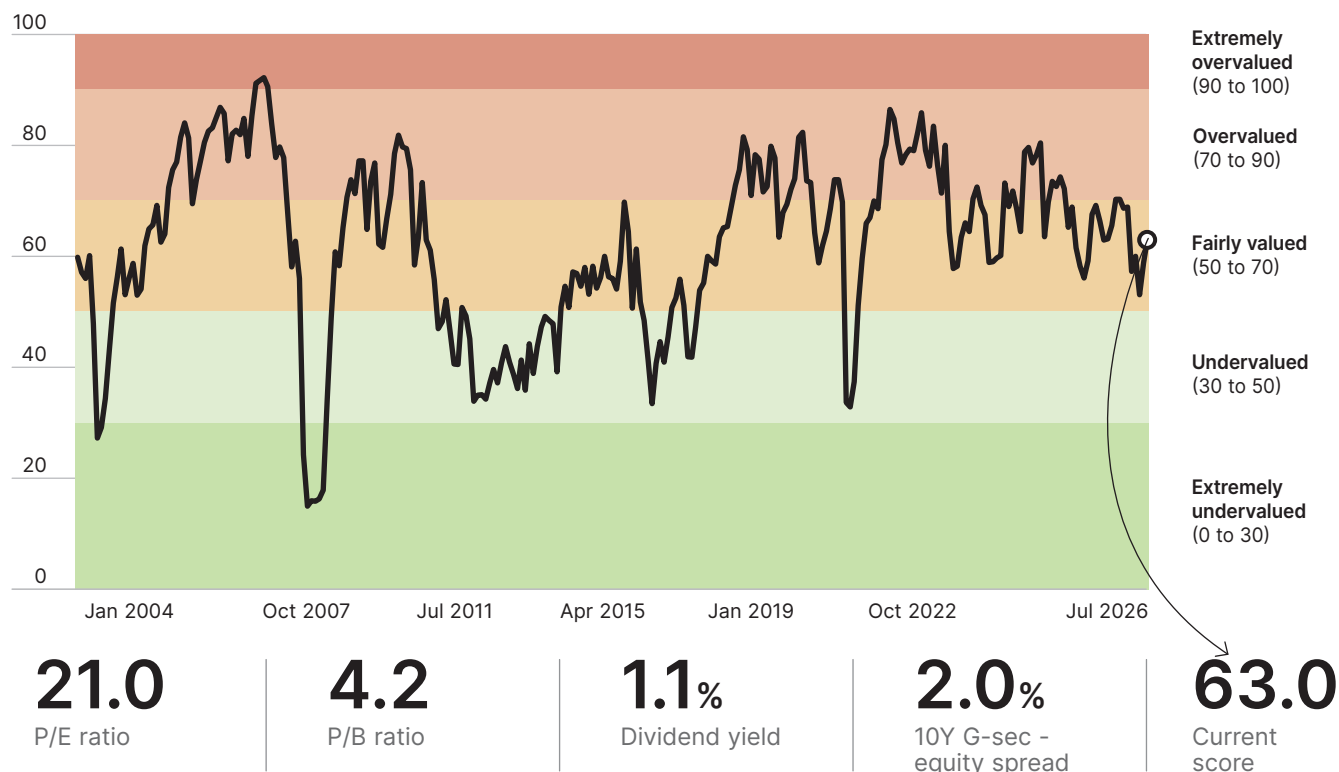
Brent crude
\$69.6

It shot past \$138 in April, as the US-Iran War threatened supply

Temperature check

A clear-eyed look at where the Indian equity market stands today

How market valuations have moved over the years



Valuation across key market phases

Month	Sensex	Score	Zone
Apr '06	12,043	83.9	Overvalued
Dec '07	20,287	92.0	Extremely overvalued
Nov '08	9,093	15.2	Extremely undervalued
Feb '12	17,753	50.8	Fairly valued
Feb '14	21,120	39.3	Undervalued
Jul '15	28,115	69.7	Fairly valued
Jan '18	35,965	81.4	Overvalued
Apr '20	33,718	33.0	Undervalued
Mar '21	49,509	84.6	Overvalued
Jul '23	64,719	60.1	Fairly valued
Sep '24	84,300	74.2	Overvalued
May '26	74,776	53.1	Undervalued

All data as of July 15, 2026

Our framework

To assess whether the market is currently cheap, fairly valued or expensive, we draw on four valuation metrics tracked monthly: the Sensex P/E ratio, P/B ratio, dividend yield and the bond-equity spread. The spread is the difference between the 10-year government bond yield and the Sensex earnings yield (inverse of P/E).

We have maintained a historical record of all four metrics since April 1998. Each month, we take the current reading of each metric and count how many past monthly readings were lower than it.

Dividing that count by the total number of past months gives a percentile rank between 0 and 100. A rank of 70 means today's reading is higher than 70 per cent of all past readings, indicating the metric is relatively expensive. A rank of 30 means it is cheaper than most of history.

Since a higher dividend yield signals cheaper valuations rather than costlier ones, its percentile rank is subtracted from 100 to align it with the other three metrics. The four percentile ranks are then averaged equally to produce the final score. ☒

Nvidia, Coca-Cola and the growth paradox

Samir Arora on why exciting growth is not always dependable

However, their very different paths show why the fastest-growing business is not automatically the best investment.

Investors often treat faster growth as the shortest route to better returns. But that is only half the argument. The more important questions are what kind of growth it is, how durable it is and how much of it the market has already priced in.

That was the message Samir Arora, founder and Group CIO of Helios Capital, delivered recently at the ET Alpha Wealth Summit. Drawing on nearly three decades of experience in the market, Arora explained why investors should look beyond headline growth rates. And the most useful lesson came from one unlikely comparison: Nvidia and Coca-Cola. One represents explosive growth; the other, slow yet steady compounding.



Not all growth is equal

Nvidia is the face of the artificial-intelligence boom. Coca-Cola is almost the opposite: mature, steady and slow-growing. Yet Arora pointed out something that is strange on the surface. "Nvidia has a lower P/E than Coca-Cola," he said. Nvidia, he added, may grow earnings by 60-70 per cent, while Coca-Cola may grow only 6-7 per cent. And still, Arora added, "Coca-Cola has outperformed Nvidia this year."

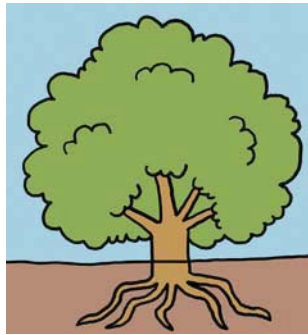
Ideally, that should not happen. A company growing much faster at a lower multiple should appear more attractive. But Arora made a blunt observation: "This is not how markets work." The point was not that Nvidia is a poor company or Coca-Cola is a superior business. The point was that markets do not value all earnings growth equally.

Arora's explanation begins with the nature of semiconductor profits. In such businesses, he said, "price is the main determinant of profits". When there is a shortage, product prices can rise sharply and profits can jump dramatically. But the same profit surge attracts capital, capacity and competition. Companies can put up more capex. Existing players can expand. Customers can look for alternatives.

That makes the quality of growth

different across both.

Coca-Cola's growth may be slower but it is steadier and easier to predict. Nvidia's growth may be faster, but it sits inside a hot, competitive and capital-attracting cycle. That is why a lower P/E and higher earnings growth do not automatically guarantee better stock returns.



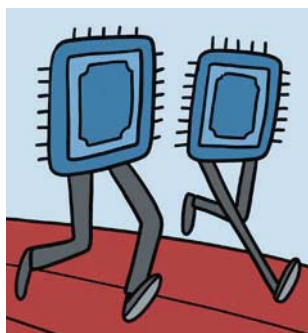
When capital becomes competition

Arora was not dismissing AI. He clearly acknowledged that “there is a wild bull run in all things AI”. But he also warned that markets can push a good theme too far. Sometimes, even if companies continue to do well, the market may say “we have discounted them” and may not reward additional good news beyond a point. This may partially explain why the AI rally has lost some steam in the US.

And it is an important distinction. The risk is not only valuation. It is also the capital cycle.

When money flows aggressively into a sector, it creates its own competition. Arora noted that Nvidia is known for GPUs, but Google has TPUs, Amazon has Trainium, Microsoft is trying to make chips and so is OpenAI. These efforts do not have to beat Nvidia immediately. The mere possibility of future competition can reduce the market's willingness to pay for today's growth.

This is where the Nvidia-Coca-Cola comparison becomes powerful. Investors often ask “Which company will grow faster?” Arora poses a



sharper question: which company's growth is more durable, less cyclical and less likely to be competed away?

That is the difference between exciting growth and dependable growth.

India and the negative halo

Arora then used a similar lens to discuss India.

Indian equities have underperformed many global markets recently, especially when viewed in dollar terms. That has produced a familiar reaction. Suddenly, every weakness looks structural. India is not an AI play. The rupee has weakened. Valuations are high. FIIs are selling. IT services are under pressure.

Some concerns are real. But Arora warned that India may be going through a ‘negative halo’. When a stock or country does well, observers praise its leadership, strategy and culture. When it performs badly, the same attributes are recast as flaws.

That is a useful warning for investors.

Recent performances often write the story. If AI stocks are rising, every risk is ignored. If India is underperforming, every strength is dismissed.

Arora's point on AI was especially practical. India may not be a frontier AI market like the US or China. But AI is ‘not 100 per cent of the market’. Global investors cannot allocate their entire portfolios into Nvidia, TSMC, Samsung or Hynix.

Even after owning the obvious AI names, they still need other investments. India, therefore, does not need to be the best investment in every portfolio. It only needs to be ‘better than the last investment’ in that portfolio. ☑



Your takeaway

- Fast growth alone is not a buy signal. Ask what kind of growth it is.
- Don't compare P/Es mechanically. Check whether the earnings behind them are cyclical or durable.
- A weak market is not automatically a bad one. Ask if the bad news has simply become too popular.
- Nvidia can outgrow Coca-Cola and still underperform for a period. India can have flaws and remain investible.
- A boring business can beat an exciting one, if the exciting one already carries demanding expectations.
- The common thread is not growth. It is durability, and whether it can survive competition, capital and time.

Prognosis? Improving

HCG's maturing hospitals can lift margins and returns, provided execution keeps pace



Sakshi/AI-generated image

A 400 times earnings multiple is an easy no. So an investor would be right to dismiss Healthcare Global Enterprises (HCG), India's largest cancer-focused hospital chain, at first glance. But its EV/EBITDA multiple tells a different story. At around 20 times, HCG trades at one of the lowest enterprise multiples among listed Indian hospital chains, while its peers command much richer valuations.

This is not as puzzling as it looks. Hospitals are capital-intensive businesses and often carry meaningful debt, making EV/EBITDA a better valuation measure. In HCG's case, profits have been depressed by high depreciation and finance costs, inflating the P/E. The enterprise multiple, however, suggests the company actually trades at a discount to rivals. And that discount is where we spotted a potential opportunity, as the hospital's years

The maturity ladder

HCG's centres crossing ₹10 crore a month are distinctly robust

Revenue per month	FY26		No. of centres	
	EBITDA margin (%)	ROCE (%)	FY25	FY26
> ₹10 crore (44% of revenue)	26	27	3	4
₹5-10 crore (50% of revenue)	18	9	12	14
< ₹5 crore (6% of revenue)	5	-22	9	6

of capital spending now look ready to start paying off.

A moat at a discount

HCG runs 25 hospitals across 19 cities, operates 38 linear accelerators (LINACs), machines used for radiation therapy, and treats close to three lakh cancer patients a year. But what makes it structurally different from Apollo

Hospitals or Max Healthcare is its focus. HCG does only oncology.

Cancer care is not convenient care. Patients do not pick the nearest hospital the way they might for a knee operation or a delivery. They travel, seek second opinions and weigh reputation, outcomes data and specialist depth. That gives a focused cancer chain a structural advantage over an oncology department in a general hospital.

Yet HCG trades at a discount to listed hospital peers for two reasons. First, margins are lower. Its EBITDA margin is around 18.5 per cent, against the 25-30 per cent others

★★

Stock Rating

1/10

Quality Score

7/10

Growth Score

3/10

Valuation Score

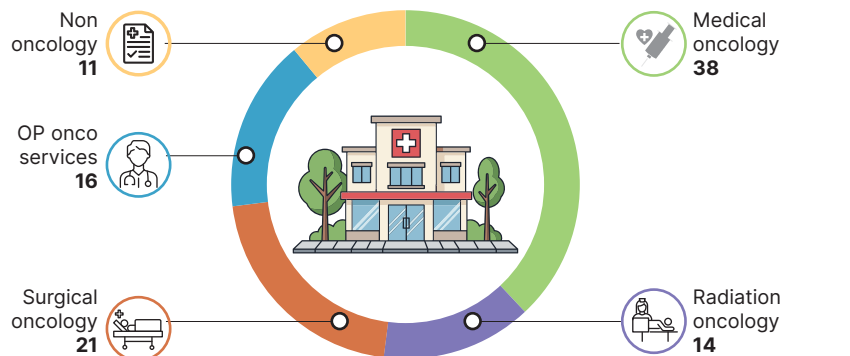
8/10

Momentum Score

Ratings as of July 10, 2026

Where HCG's revenue comes from

The largest slice is also the lowest-margin one



generate. Second, return on capital employed is weak. Its five-year median ROCE ending FY26 was 12 per cent.

The reason lies in a decade of heavy capital deployment worth nearly ₹1,700 crore. HCG added beds, bought LINACs, expanded into new cities and acquired Milann, a fertility chain that did not work out. That left the company with large depreciation charges, high finance costs and a ₹32 crore goodwill write-off in FY26, when the fertility business was written off.

As a result, reported profit after tax was just ₹21 crore in FY26, against EBITDA of ₹466 crore. The operating business did well, but capex-related costs consumed most of the profit.

The inflexion point

Expansion is largely over. HCG added no net new hospitals between FY20 and FY26. What it now has is a network of 25 hospitals sitting at just 58 per cent average utilisation, with the fixed costs of doctors, radiation therapy machines and real estate already in place.

From here, every incremental patient should contribute directly

to the bottom line as operating leverage kicks in.

This is already visible in the mature portfolio. Four mature hospitals, each earning over ₹10 crore a month, generated about 44 per cent of revenue in FY26. These hospitals delivered EBITDA margins of 26 per cent and ROCE of 27 per cent, helped by a stable fixed-cost base. By contrast, 14 hospitals that are not fully mature yet delivered EBITDA margins of 18 per cent and ROCE of 9 per cent, while contributing about half of monthly revenue. If these hospitals mature in line with the older centres, HCG's overall returns can improve meaningfully.

The second lever is product mix. Medical oncology, largely routine chemotherapy and the lowest-margin part of the business, still accounts for 38 per cent of revenue.

As hospitals mature and attract more complex cases, the mix can shift toward bone marrow transplants, immunotherapy and robotic surgery. Ahmedabad's newly expanded facility, commissioned in FY26 with six bone marrow transplant units, is designed for exactly this shift. Average revenue per patient is

around ₹84,000 today, with room to rise if the case mix moves toward higher-margin treatments.

Watch these risks

The inflexion-point thesis rests on execution. Three risks matter most.

The biggest is dependence on government payors. Around 33 per cent of revenue comes from patients using government health schemes. Under these schemes, hospitals receive only partial disbursements for treatment costs, which limits margins. HCG is trying to shift more of its mix toward cash and insured patients, but the risk remains. State-run schemes can also change abruptly. In early 2025, the Odisha government withdrew its health scheme for non-Odisha hospitals, cutting ₹4.5 crore per quarter from HCG's Vizag hospital alone, with no prior warning.

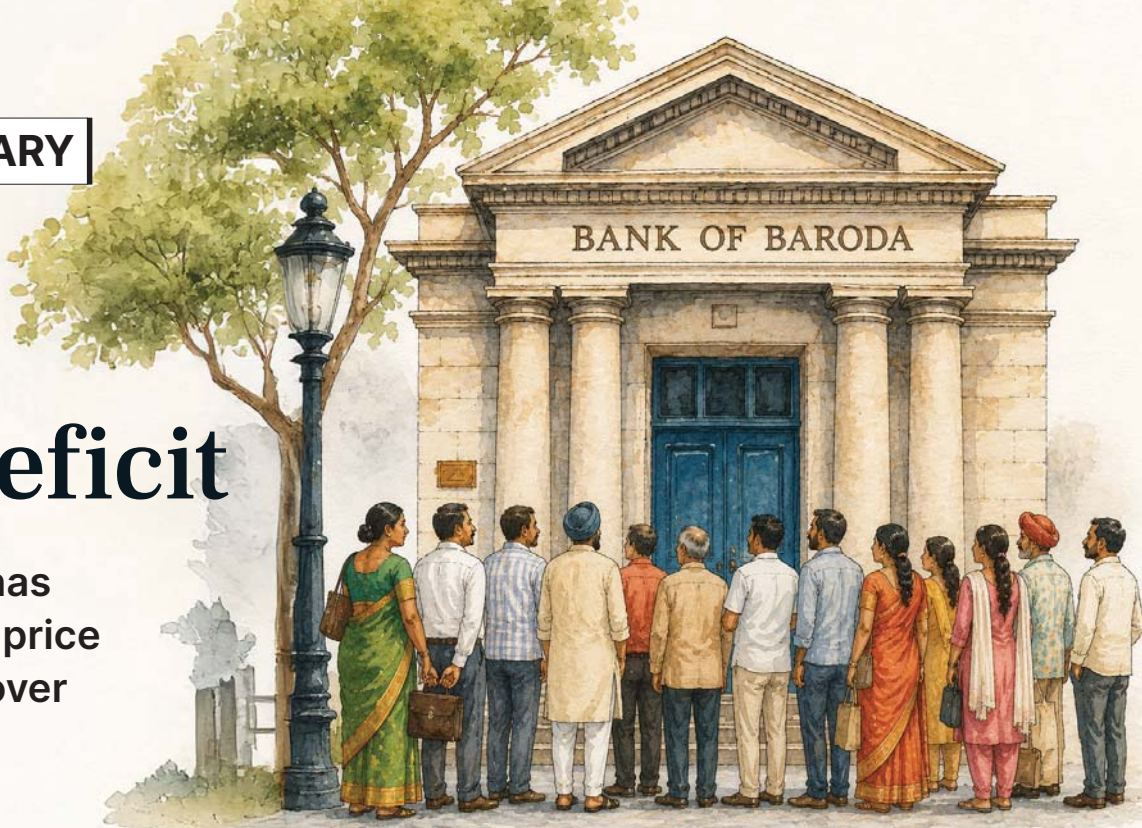
The second risk is management transition. Private equity giant KKR replaced CVC as the majority shareholder in 2025. Founder Dr B S Ajaikumar has moved to a non-executive role. A new CEO with an Apollo background took charge only a year ago. New ownership, new leadership and a margin expansion story have arrived together. That is not a red flag, but it is an untested combination. The company needs a few quarters of consistent execution before the evidence becomes more reliable.

HCG is at a genuine turning point. The assets are in place, utilisation has room to rise and mature hospitals show what the network could earn at scale. But the discount is not irrational. It reflects weaker historical returns. The stock's case, therefore, rests less on what HCG has built and more on whether it can finally earn enough from it. ☒

By Abhinav Goel

BoB's trust deficit

Bank of Baroda has improved but its price reflects doubts over its credibility



Sakshi/AI-generated image

At 0.9 times book value, Bank of Baroda (BoB) is like a batsman whose poor form has a long afterlife. Even after a few good seasons, the crowd still holds its breath fearing the next loose shot.

The stock is trading at a discount to other state-run banks even though bad loans have fallen, returns have improved and loan growth has remained healthy. So what gives? Investors may still be waiting to see whether today's improvement can hold through a full cycle. For a public-sector bank with a history of corporate lending stress and complex overseas operations, trust may take time to rebuild.

What has improved

Gross NPAs fell from 6.6 per cent in FY22 to 1.9 per cent in FY26. Net NPAs, which measure bad loans after provisions, are down from 1.7 per cent to 0.5 per cent.

BoB's valuation gap

A comparable RoE with larger peers but a lower price-to-book multiple

Bank	ROE (%)	P/B	ROE by P/B
Bank of Baroda	15.4	0.9	17.1
SBI	18.6	1.8	10.5
Union Bank	15.9	1.1	15.1
Indian Bank	19.5	1.4	13.9
ICICI Bank	16.0	3.0	5.3
HDFC Bank	14.3	2.2	6.5

ROE data as of FY26. Standalone price-to-book data as of June 30, 2026. RoE by P/B shows how much return on equity investors are getting for every unit of book value they pay for.

Slippages, or fresh loans turning bad, have also declined. Provision coverage is healthy at 93 per cent.

Growth has been reasonable too. Advances, loans in India and overseas, have grown by roughly 15 per cent annually over four years. Deposits have increased by about 12 per cent annually, broadly in line with large public-sector peers.

A more balanced loan mix supports the improvement in asset quality.

Retail, agriculture and MSME loans formed 61 per cent of domestic advances in FY26, against 48 per cent in FY20. That has reduced the bank's dependence on large corporate borrowers.

Bank of Baroda had entered the previous bad-loan cycle with sizable corporate exposure. The bank was hit hard by stress in overleveraged sectors such as infrastructure, power, metals, textiles, construction and engineering, which made up

★★★★

Stock Rating

5/10

Quality Score

8/10

Growth Score

8/10

Valuation Score

4/10

Momentum Score

Ratings as of July 10, 2026

37 per cent of its loan book over a decade ago. Today, their exposure is far lower at 14 per cent.

The bank is also generating respectable returns. Its return on assets was above 1 per cent in FY26, while return on equity was in the mid-teens. These metrics indicate how efficiently the bank is using its assets and shareholder capital to generate profits. Still, the valuation gap persists. It becomes clearer when one looks beyond the loan book and recent growth.

The risk outside the loan book

A cleaner loan book does not eliminate risks outside lending. The bank's recent settlement with UAE-based NMC Health underlines this.

In its FY26 annual report, the bank disclosed the litigation but sounded confident. It denied allegations by NMC Health's administrators that it had facilitated questionable transactions and failed to follow adequate due diligence. It said it had a robust legal defence and that the claims could not be crystallised then. Yet early last

month, the bank settled the dispute for \$600 million, or around ₹5,700 crore, without admitting wrongdoing.

For shareholders, the cash outflow matters because of a likely earnings hit. But the larger issue is governance and operational risk. The question is no longer only whether today's loans will turn bad, but also whether risks from older overseas relationships or legal claims can emerge later.

That probably explains part of the valuation discount. The market may not be saying the current loan book is weak. It may be saying the bank still has to earn back confidence.

NMC settlement is not the only episode to have raised questions about controls. The bob World controversy did so in a different part of the bank. In 2023, the RBI stopped the bank from adding customers to its bob World app after identifying material concerns in the onboarding process. The action followed allegations that customer accounts had been linked to unauthorised mobile numbers to inflate app registrations.

The restriction was lifted in May 2024 after the bank strengthened its processes. But the episode exposed a similar weakness: internal controls failing outside the traditional business of lending.

A pricey deposit mix

Then there is the bank's deposit mix. BoB's domestic CASA ratio has fallen from 44.2 per cent in FY22 to 38.9 per cent in FY26. So these low-cost deposits now form a smaller share of total deposits.

This is partly because bulk deposits, usually raised from institutions or wealthy customers, have grown faster. They can support loan growth, but are generally more expensive and can compress margins. That matters because BoB's net interest margin was at a lower end of 2.89 per cent in FY26, compared with 2.5-4.5 per cent of its peers.

What BoB is yet to prove

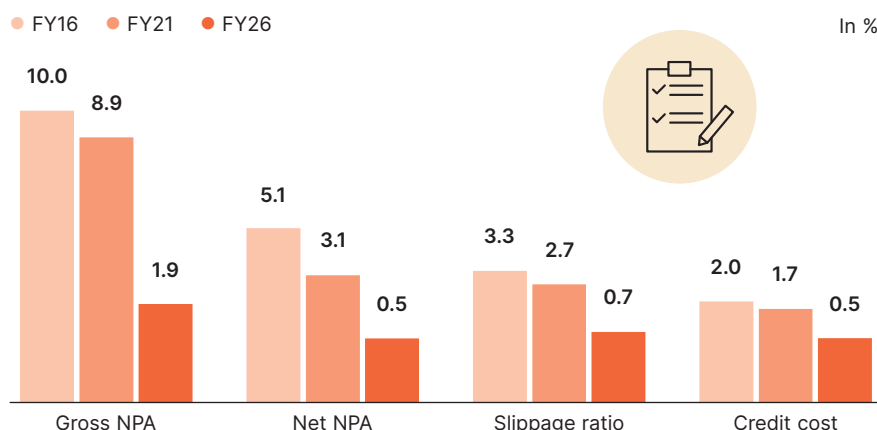
A lower valuation may be reflecting all of this. Beyond these concerns, the market may also be applying a discount for public-sector ownership, weaker fee income than leading private banks, technology and operational risks, and the possibility that problems could remain invisible until they crystallise. The 'bob World' episode and NMC settlement show why investors may want more proof before re-rating the stock.

They may be discounting not only past mistakes, but also risks that are difficult to see in advance. Whether that discount narrows will depend on sustained execution, greater transparency and, above all, the absence of fresh surprises. 

By Satyajit Sen

BoB's loan book clean-up

From double-digit NPAs and high credit costs to a clean balance sheet



FY16 data is pre-merger

Inside every air conditioner

KRN just built a brand new plant. What remains uncertain is the execution.

Walk into any Daikin or Blue Star showroom and pick an air conditioner off the wall.

The salesperson will talk about star ratings, inverter compressors and smart connectivity. What they will not mention is the heat exchanger coil inside: the copper and aluminium component that actually transfers heat from your room to the air outside. In most cases, that coil was made by KRN Heat Exchanger and Refrigeration, a seven-year-old company from Neemrana, Rajasthan, that most investors have not heard of.

It is a business-to-business manufacturer, invisible by design. It sells not to consumers but to Daikin, Blue Star, Carrier, Voltas, Schneider Electric and Kirloskar Chillers and has done so, in several cases, since its earliest years. That roster of demanding original equipment manufacturers (OEMs), who qualify suppliers carefully and switch reluctantly, is the first important thing to understand about KRN. Their continued patronage says more than any revenue chart can.

The coil as a business

A heat exchanger is not a commodity. Every OEM specifies its own tube diameter, fin geometry, coil configuration and coating, and KRN must engineer the component precisely to fit each buyer's product. It does not build to stock; it builds to



Aprajita Anushree/AI-generated image

specification, to order. That engineering relationship, once established, is genuinely hard to undo. Switching a supplier means re-qualification, re-testing and accepting the possibility of a quality failure inside a finished product. Customers don't take that risk lightly, and the reluctance is structural.

The consequence of that stickiness shows up in one number: the old plant ran at over 90 per cent of capacity for years, not because KRN was restraining growth but because existing customers kept placing more orders than a single plant could fill. India is getting hotter, air conditioning penetration is still

rising and every new commercial building, cold storage facility and data centre needs a heat exchanger. Demand was not the problem. The room to serve it was.

From one plant to a platform

The IPO in October 2024 raised ₹342 crore, which went into a second facility – KRN HVAC Products – commissioned in Neemrana in May 2025. That same capital injection also more than tripled the net worth of the business in a single year, which explains why return on equity has fallen from 58 per cent in FY23 to around 11 per cent today. Earnings grew; the equity base grew faster. The underlying business has not changed character.

The capacity constraint had created something more useful than theory: a waiting list. Management confirmed that over 100 customers

★★★★

Stock Rating

4/10

Quality Score

9/10

Growth Score

6/10

Valuation Score

10/10

Momentum Score

Ratings as of July 21, 2026

The financial trail

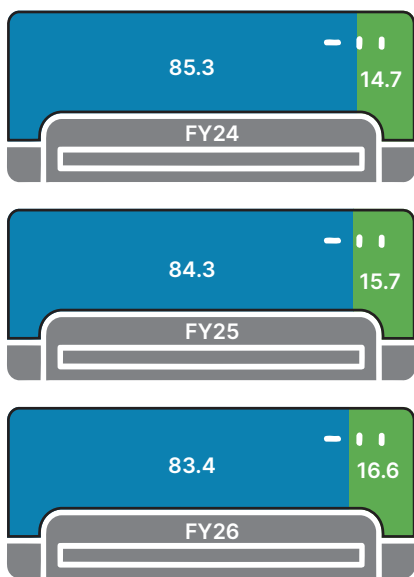
Five years of expansion and what it did to KRN's returns

	FY22	FY23	FY24	FY25	FY26
Revenue (₹ cr)	156	247	308	430	600
Op. profit (₹ cr)	14 	46 	54 	66 	94 
Op. margin (%)	9.2	18.6	17.7	15.3	15.6
Profit after tax (₹ cr)	11 	32 	39 	53 	76 
ROCE (%)	42.7	67.5	29.8	21.2	14.5

The mix is shifting

Not quickly enough to matter yet

● Domestic sales (%) ● Export sales (%)



had developed approved samples and were ready for mass production, held back only by supply. The new plant does not need to find its market; much of it was already queuing.

What the new plant makes is also different. The original facility made fin-and-tube heat exchangers for air conditioners. The new one adds roll-

bond evaporators for refrigerators, bar-and-plate heat exchangers for railways, and oil-cooling units for locomotives. The company secured railway vendor approval and acquired the bus air-conditioning division of Sphere Refrigeration to accelerate entry into transport cooling. Combined peak revenue from both plants, once fully ramped, is estimated at ₹2,250-2,850 crore against FY25 revenue of ₹442 crore.

An approved production-linked incentive worth ₹141 crore over three years and a concessional tax rate on the new subsidiary add support on the way. The ambition is credible. Whether it arrives on schedule is what needs watching.

Where the confidence needs to be tested

Daikin's share of revenue has held at around 33 per cent even as total revenue grew from ₹85 crore to ₹308 crore, a relationship growing proportionately, not a dependency deepening. The concentration is still real, but the risk is not worsening.

Reducing it requires the new plant to consistently win new

customers, which is still early. Copper and aluminium, sourced significantly from imports, are volatile. KRN reprices every quarter, which means there is always a lag between when input costs move and when margins stabilise. The operating profit margin has been visibly uneven as a result.

The deeper uncertainty is execution. New sectors require technical certifications, new buyer relationships and a track record KRN does not yet have. The plant is commissioned; ramped is a different thing. Fixed costs run before revenues match. And unlike a project-based business with signed contracts, KRN operates entirely on rolling purchase orders: no backlog, no locked revenue, only the next order and the one after that.

The price of a good story

At over 100 times trailing earnings, KRN isn't priced for what it is today. It is priced for what it is trying to become: a scaled, diversified manufacturer serving ACs, railways, refrigeration, bus cooling and data centres. The new plant is real, the incentive is sanctioned and the railway approval stands.

But 100 times earnings is a precise bet on a specific future arriving on schedule. It leaves little room for the new facility to ramp slowly, for a large customer to slow orders or for execution in an unfamiliar sector to take longer than expected. For a company this young, with this much change underway at once, that is a significant assumption to build into a price. The business is worth knowing. Whether the current price is worth paying is a different question entirely. 

By Udhayaprakash

A decade late

The exchange got richer while it waited, but the risk got bigger too



Yogesh Sharma/AI-generated image

NSE filed for an IPO in 2016. The sale never happened. A scandal over unfair access to trading froze the plan for years. Then came a decade of waiting.

This time, its IPO is expected to be sized at around ₹30,000 crore, the largest share sale in Indian history. The record-size headlines will skip that decade. This is the part you should read before you decide whether to buy.

What stopped it in 2016

The roadblock was co-location. Between 2010 and 2014, certain brokers connected first to a backup server inside NSE's data centre. That gave them market data milliseconds ahead of everyone else. In high-frequency trading, milliseconds are money.

A forensic audit confirmed the pattern. SEBI opened an investigation, and when NSE filed its prospectus in 2016, the case was still wide open, with no end date. That uncertainty was enough

for the market regulator to halt the listing.

What followed was a decade-long grind through SEBI penalties, tribunal battles, and the Supreme Court. The saga is in its final chapter with NSE having proposed a revised ₹1,491-crore settlement with SEBI, which is reportedly near resolution.

That backdrop explains how Ashish Chauhan's arrival in 2022 proved instrumental. A member of NSE's founding team who later led BSE's 2017 listing, he returned and helped restore regulatory credibility and put the long-delayed IPO back on track.

What it has built in the last decade

Here is the part most coverage will miss. The 10 years during which NSE could not list became the 10 years it grew most aggressively.

Revenue grew roughly nine times. The mix shift inside those numbers is more telling.

Exchanges make money mainly by charging a transaction fee every time an investor trades, plus listing fees, data services, and technology offerings. In FY16, transaction charges made up 49.5 per cent of NSE's total income. By FY26, that share had risen to 78.7 per cent, primarily led by derivative trading, options in particular, which have seen explosive retail-led growth in recent years. NSE simply grew by going deeper into the one business expanding the fastest.

When strength backfires

SEBI's own data showed that 91 per cent of futures & options retail traders suffered net losses in FY25 alone, collectively losing about ₹1.1 lakh crore. The regulator has thus been intent on slowing the segment down. From 2024, it changed many rules on equity derivatives, including reducing seven weekly expiry events across both exchanges to one weekly index expiry: NSE's

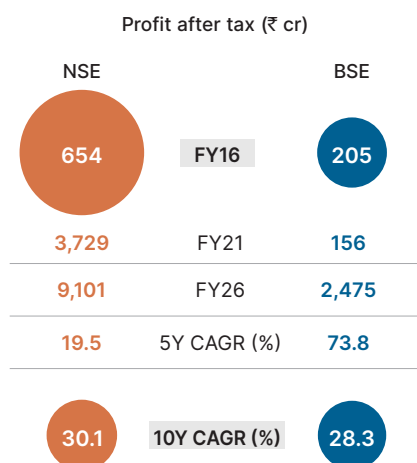
Nifty on Tuesday, BSE's Sensex on Thursday. SEBI also raised contract sizes and imposed extra margins near expiry.

FY26 was the first full year for NSE under those rules. Revenue from operations fell about 3 per cent year on year. Adjusted profit after tax came in at ₹9,101 crore, down 17 per cent from FY25. More importantly, NSE's market share of equity options fell from 97 per cent in FY24 to 75 per cent in FY26. The hit on profitability is also because no other part of the business is large enough to absorb the shortfall from options.

The other 21 per cent of top line, from data feeds, listing fees, index licensing and co-location charges, is recurring, less volatile and growing. As derivatives printed money for a decade, NSE never needed to optimise pricing elsewhere. Cash-market charges stayed low. The listing fee sits below global peers. Those levers remain unpulled.

Two exchanges, one decade

BSE's five-year sprint outpaces NSE's decade-long lead



Profit after tax excludes exceptional and one-off items. CAGR is compounded annual growth rate.

A giant leap

Inside NSE's 10-year climb to dominance

Metrics	FY16	FY21	10 year growth
Revenue from operations (₹ cr)	1,863	16,601	8.9x
Adjusted profit after tax (₹ cr)	975	9,101	9.3x
Registered investors (cr)	2	12.9	6.5x
Market cap of listed cos (₹ lakh cr)	93	411	4.4x
Revenue from derivatives (₹ cr)	900	11,478	12.8x

Profit figures are adjusted for exceptional and one-off items

Rivalry has raised the heat

The 10-year annualised profit growth is nearly similar: NSE 30 per cent, BSE 28 per cent. The same number conceals two different businesses. In the first five years, NSE grew from near-total dominance in derivatives, while BSE had no meaningful derivatives franchise and its profits actually shrank between FY16 and FY21. The decade-long parity exists entirely because of what BSE did in the last four years.

The five-year profit growth figure shows that. BSE compounded at 73.8 per cent, NSE at 19.5. The catalyst was the same regulatory restructuring that hurt NSE. It handed BSE an opening in index options it had never held before. FY26 makes it visible: NSE's profit fell, BSE's rose 88 per cent. BSE trades at 64 times earnings because the market expects it to keep taking share from a low base. NSE is compounding from the top of a market it already owns.

Price will warrant scrutiny

Still NSE is a toll booth on India's financial highway. Every trade executed, every contract settled, every passive fund benchmarked to the Nifty, NSE collects something. That shows up in how it earns money with rare consistency.

In FY26 it posted a 51 per cent profit margin, paid out 84 per cent of profit as dividend, and still held ₹64,771 crore in treasury investments. The business generates far more cash than it needs to run or grow, a defining characteristic of quality.

However, the regulator controls the road. SEBI decides which contracts NSE can offer, at what size, on which days and with what margins. In FY26 it slowed traffic on NSE's most profitable lane, and the fall passed straight to profit. And this demands that its IPO valuation, whenever declared, should be scrutinised accordingly. ☒

By Lekisha Katyal



Cheap cover, costly neglect

How a modest premium can safeguard the biggest investment your family will ever make



Yogesh Sharma / AI-generated image

India's geographical features and climatic conditions, similar to those of Southeast Asia, make it vulnerable to natural disasters. According to the National Disaster Management Authority (NDMA), about 60 per cent of the Indian landmass is prone to earthquakes, while 8 per cent of the country is susceptible to cyclones. Despite this, very few Indians cover their homes against damage or other perils. Premiums in the fire and allied perils segment of general insurance have grown very slowly.

This is surprising because a house is perhaps the costliest asset owned by an average Indian family. They pour in crores to build their houses and lakhs to furnish them. While home insurance sales naturally increase after every catastrophe, but once the disaster and its aftermath have faded from

public memory, the coverage typically lapses.

What needs to be covered

Fortunately, home insurance is relatively inexpensive in India and is easy on the wallet. The essential covers your house needs cost less than ₹3,000 a year. A standard fire and other perils policy covers damage due to fire, lightning, storm, flood, landslide, earthquake, vehicle impact, rioting, arson and bursting of pipes and



tanks. It is possible to buy this as a standalone cover, but most insurance companies encourage buyers to go for a comprehensive plan that covers a wide range of risks.

Structure: The cost of insuring the structure against damage is as low as ₹50 per ₹1 lakh. Keep in mind that you don't need to insure the house for the value of the property, but only for the cost of reconstructing it. The costs can vary from ₹2,000 per square feet for a basic no-frills structure to ₹4,000 per square feet for a

As per the NDMA, about 60 per cent of the Indian landmass is prone to earthquakes, while 8 per cent is prone to cyclones. Yet, very few Indians cover their homes against such damage and other perils.

If you live in an apartment complex, your house may already be covered against damage, as resident welfare associations of housing societies typically arrange for the buildings to be insured. Thus, check with your RWA or builder for more information.

premium construction. Therefore, a 2,000 sq ft house should be insured for ₹40-80 lakh, with a cost of ₹2,000-4,000. If you break this down to a daily cost, it is no more than what you pay for a cup of tea at a roadside vendor.

Contents: A fire or a flood may not damage the structure, but will ruin everything else inside the house. You also need to ensure that the contents of the house are protected against damage. The cost of insuring contents worth ₹10 lakh against natural and man-made calamities is just ₹300-400.

Burglary and breakage: These covers are also important and will not cost too much. You can further enhance coverage by adding more sections if you identify a specific risk and your budget allows.

Some people think they don't need home insurance if they live in a rented house. This is a misconception. The house may belong to the landlord, but the contents belong to the tenant. They need insurance against any damage to the contents (whether caused by natural or man-made disasters) and against burglary. A wider cover also makes you eligible for a discount on the premium. Insurance companies offer a 15 per cent discount if you take at least four different covers. If you purchase six covers, the discount increases to 20 per cent. But don't let the discounts tempt



you into buying sections you don't really need. For instance, if you have rented out your house, there is no need to insure its contents. Leave that to the tenant.

Companies also offer discounts for long-term policies. You can insure your house for up to 10 years. However, keep in mind that the cost of construction continues to rise. Some plans are structured to account for rising prices. The cover increases by 10 per cent every year.

If you live in an apartment complex, your house may already be covered against damage. Resident welfare associations of housing societies typically arrange for the buildings to be insured and factor the cost into the monthly charges payable by residents. Companies offer group discounts on such policies. Check with your resident welfare association or builder for more information.

Preparing an inventory

When insuring the contents of your house against breakage and theft, you need to make a list of items you want to cover. A typical list may include furniture, electronic equipment such as a television, a music player and a kitchen unit, among others. Once your list is ready, begin collecting the bills for the items on it. If you don't have the bills, you can use



warranty cards. Take photographs of each item and submit them along with your bills to the insurance company. Whenever you purchase a new gadget, provide the insurance company with details of the item. The company will tell you the additional premium payable, after which it will cover the item.

If the original bills, warranty cards and photographs are destroyed in a fire, the company's surveyor will verify and cross-check the destroyed items against what was submitted at the time the policy was taken out. The insurance company will also cross-check the FIR and police report before accepting your claim.

Things to keep in mind



Review your cover every few years. Construction costs rise over time, and a policy bought years ago can leave your house underinsured. **Read the exclusion list before you buy.** Most policies do not cover normal wear and tear, and require you to report a burglary to the police within a set time. Knowing this in advance avoids surprises when you need to file a claim. **Safeguard your documents.** Store your policy document, premium receipts and photos of your insured items somewhere safe, ideally outside the house, such as in cloud storage or with a family member.

A house is often a big purchase a family never thinks of safeguarding the way it protects a car or a life. A premium of a few thousand rupees a year is a small price for that protection. ☑

5 strategies to PROFIT in any market

By Udhayaprakash and Abhinav Goel

Every investor eventually runs into the same wall. You read enough to know that quality, growth and valuation matter, but knowing this in the abstract does not tell you what actually to do with your money on a Monday morning.

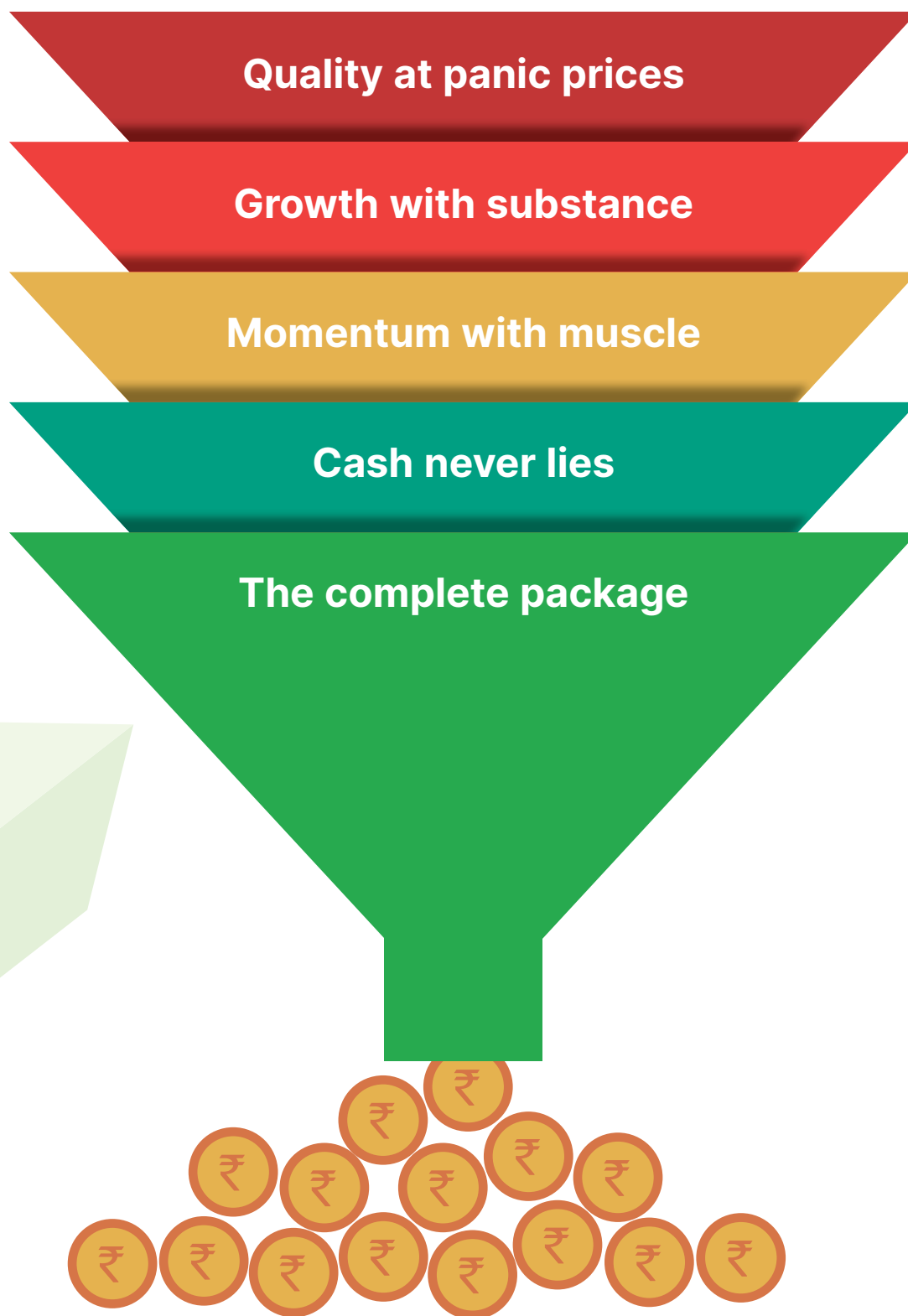
Most advice at this point turns into a personality quiz: Are you a growth chaser or a safety seeker, aggressive or conservative? That framing sounds useful, but it quietly misses the point. Good investing is not about picking a label that fits your temperament. It is about learning a handful of ways of thinking that work in nearly any market, in any year, for any kind of investor.

That is what this story is about. Not five stock lists for five kinds of people, but five frameworks for five different situations every investor eventually faces, whether a stock has fallen hard for reasons that may not matter, whether a company's growth is the kind that compounds wealth or quietly destroys it, whether a rally has real substance behind it or is running on sentiment

alone, whether a dividend is a sign of genuine strength or a warning that a business has stopped reinvesting and finally, what it looks like when quality, growth and valuation all show up together.

Behind all five sits a tool we have spent 30 years building: **Value Research Stock Ratings**. We score every listed company on four parameters, each on a scale of 10. Quality shows how efficient and financially sound a business is. Growth shows whether earnings are genuinely compounding. Valuation shows whether the price makes sense against the company's own history. Lastly, momentum shows whether the market has noticed what the numbers already reveal. On their own, each of these is a useful lens. Together, they form a structured, data-backed way of reading any Indian stock.

We built five frameworks around these four scores. Each targets a different situation: a quality business punished beyond what its fundamentals justify, a company growing fast while getting financially stronger,



a stock with momentum that is actually earned, a dependable dividend payer whose cash tells the real story and the rare business where quality, growth and valuation are all aligned at once.

These are neither stock recommendations nor a

substitute for your own judgement. Think of them instead as five lenses you can return to again and again, in any market, in any year, long after this issue is off your shelf. Use them as your starting point. The due diligence, as always, remains your job.

Quality at panic prices

Whenever a company has a bad year, most investors take it as a sign to stay away, as if the market has delivered a permanent verdict on the business. Usually, that's far from the truth.

Some of the best stocks to buy are the ones everyone is selling or avoiding. This screen is built around that gap. It looks for companies that have fallen more than 30 per cent over the past year but whose quality and growth scores suggest the business is still sound. If the fundamentals are intact, that fall isn't a warning sign; it's an opportunity the market has created for you.

Take SRF, for instance. Its stock fell around 18 per cent in 2012 and another 32 per cent through FY13, with revenue and profit down 5 per cent and 33 per cent respectively. On the surface, it looked bad. Yet it's important to look deeper and ask whether the decline came from changed fundamentals or external factors.

For SRF, European chemical companies were flooding India with cheap exports just to keep their factories running, not because they held a permanent edge. The packaging films industry had built twice the capacity it needed, and margins fell sharply across the sector. A carbon credit income stream was being phased out by regulation. Commodity prices were weak across nearly everything SRF made.

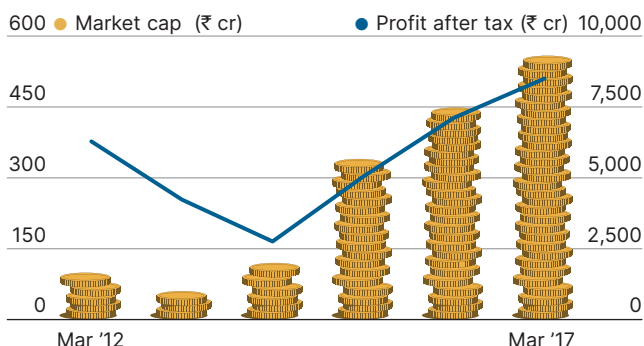
None of this was permanent, and none changed what SRF actually was: a company with strong positions across chemicals, packaging films and technical textiles, with a new speciality chemicals complex being built at Dahej, Gujarat, that became its most valuable business. From FY2013 to FY2026, SRF's profit after tax compounded at 15 per cent a year. Investors who stayed, or bought during those hard years, did very well (see the graph 'A comeback from lows').

So why not just chase any stock that has fallen hard? Because cheap isn't the same as good. A Quality Score above 6 is your first check; it shows the business earns decent returns on capital and isn't carrying dangerous debt. Without that, you simply have a stock that deserves to be cheap.

Growth matters just as much. A high-quality business that isn't growing won't compound your

A comeback from lows

After a poor spell in 2012 and 2013, SRF's stock made a strong turnaround



money. A Growth Score above 6 confirms the business is still expanding. Put the two together and you're asking one straightforward question: Is this a good company having a bad year, or one in genuine trouble? The price fall gets a stock onto this list. The Quality and Growth scores decide whether it belongs there.

A word of caution

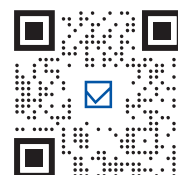
Not every fallen stock recovers. Some businesses fall because the damage is real, and this screen can't tell the difference on its own.

So, before acting on any name here, ask why the price fell. If the reason is cyclical, such as a commodity downturn, temporary competitive pressure or an income stream that was always going to end, that's worth investigating further. If something structural has changed in the business, no screen will catch it. That's your job. Therefore, use this list as a starting point, not a conclusion. And don't forget to do your own due diligence and research before making an investment decision.

The filters

- Market cap > ₹500 cr
- Quality score > 6
- Growth score > 6
- 1-year return < -30%

To get the full list, scan the QR code



Growth with substance

Let's take the case of companies that genuinely grew investors' wealth over time. What's the one common thing among them? They didn't just grow in a single year. They kept compounding steadily through slowdowns and market corrections, yet remained strong.

To find such companies, we looked at their performance across different five-year periods. In each window, companies that grew their profits consistently beat the ones that didn't. And it wasn't close. In some periods, the low-growth companies didn't just underperform; they lost money.

This isn't really a surprise once you think about it. Growth is what drives earnings higher. Higher earnings drive prices higher. But here's where it gets interesting. Not all growth actually creates wealth. This is where a lot of investors get it wrong.

Imagine a company with rapid growth (revenues rising, scale expanding), but earning a return on capital of just 7 per cent, while cost of capital is 11 per cent. So, every rupee it invests is destroying value, even though the business

Low returns erode value

If continued for 10 years, company A would have lost 29 per cent of its capital

Initial capital: ₹1,000



looks like it's expanding.

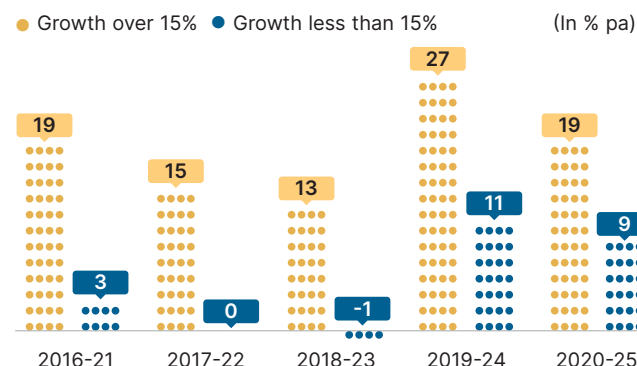
The infographic on the left makes this obvious. Two companies start with ₹1,000 each. One earns 7 per cent returns on capital, the other 13 per cent. Five years later, one is worth ₹865. The other is worth ₹1,082. Extend to 10 years, and the gap becomes alarming. Growth didn't help the first company. It accelerated the problem.

Thus, this screen doesn't just look for fast growers. It looks for fast growers that are also getting financially stronger. A Growth Score above 7 confirms that the company is consistently compounding its revenues, profits and cash flows. A Quality Score above 6 ensures the business earns decent returns on the capital it deploys.

The Piotroski F-score above 7 runs nine different tests of financial health at once. It confirms the balance sheet is genuinely strengthening as the business grows.

Higher growth = Higher returns

Strong and steady growth leads to greater returns nearly every single time



Five-year annualised growth of profit before tax and exceptional items. Minimum starting market cap of ₹500 crore.

A word of caution

Growth doesn't last forever. Before acting on any name, consider what's actually driving it and if those conditions will persist. A company that grew profits at 20 per cent a year might earn 10 per cent over the next five years, or less. Don't project the past forward. Valuations matter just as much. The market loves growth stocks and prices them accordingly. Even a genuinely strong, fast-growing business can be a poor investment if you pay too much to get in. So, check valuations carefully. Use this list as a starting point for your own research.

The filters

- Market cap > ₹500 cr
- Quality score > 6
- Growth score > 7
- Piotroski F-score > 7

To get the full list, scan the QR code



Momentum with muscle

Momentum investing has had a love-hate relationship with investors. While some like it, others don't. And the hate is partly deserved. But here's the thing: momentum is real. Stocks that are going up tend to keep going up. When buyers come in and push a stock higher, the early ones make good money. The problem isn't momentum itself. It's what's usually driving it.

When a stock rallies merely on excitement without the business doing anything exceptional, there's nothing much holding it up. So, the valuation stretches, but the business remains the same. And when the excitement fades, the fall is typically faster and harder.

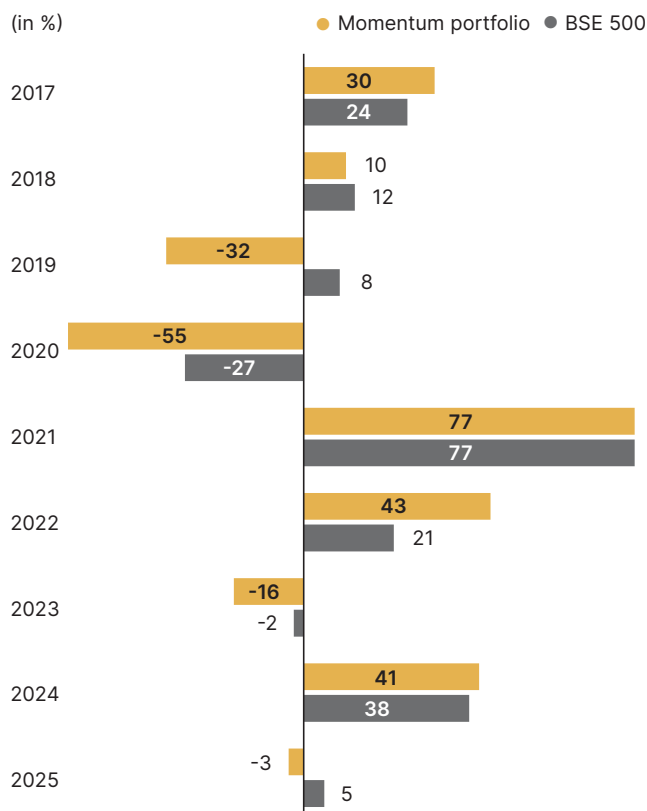
The data below proves this point. Look at what happened to stocks that had doubled in the previous

year. In strong markets, they do brilliantly. But in bearish markets, they fall far harder than the broader index. Chasing price movement alone is a game with very uneven odds. But this isn't an argument against momentum. It's an argument for being more selective about which momentum you follow.

This screen is designed to find momentum that actually holds substance. A Momentum Score above 7 indicates the stock is genuinely in an upward trend within its peer group, not just a brief spike. A Quality Score above 7 ensures the business behind the move is actually solid: decent returns on capital, a clean balance sheet and nothing structurally broken underneath. And a Growth Score above 6 confirms the company is still growing. Put those together and you have a stock that's rising because the business has genuinely earned the market's attention. That is entirely different from a stock rising purely on sentiment. When quality and growth are backing the momentum, there's a real reason for the price to keep moving. When they're not, it's only a matter of time before reality catches up.

When momentum loses steam

When the market goes up, momentum stocks go up. When the market falls, momentum stocks fall harder.



Portfolio consists of stocks that doubled in value in the preceeding year. Minimum market of ₹100 crore. Data based on one-year median returns.

A word of caution

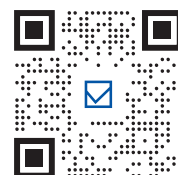
Even when fundamentals are strong, momentum investing comes with a valuation trap. Once a high-quality, fast-growing stock attracts widespread attention, buyers enter aggressively, multiples expand and before you know it, a great deal of future growth is already sitting at the current price.

That risk doesn't disappear just because the company is genuinely good. A great business at a fair price is an investment. The same business at a stretched multiple is a bet that enthusiasm will continue. This screen handles the quality and growth side. What you're paying is still your call. Check valuations carefully before deciding to invest. These are not stock recommendations. Use this as a starting point for your own research.

The filters

- Market cap > ₹500 cr
- Quality score > 7
- Growth score > 6
- Momentum score > 7
- 1-year return > 20%

To get the full list, scan the QR code



Cash never lies

Whenever a company pays its investors dividends, it isn't just giving a bit of extra cash. It is telling investors something that income statements often don't.

A company can present its profits more favourably in many ways: timing revenues differently, adjusting depreciation costs, tweaking provisions and so on. But while accounting can be manipulated, cash cannot.

When a company distributes money to shareholders, that money needs to exist. This means that every time a company pays dividends, year after year, it's quietly showing that its profits are real.

And that proof shows up in the numbers. Companies that pay dividends consistently have interest coverage of 15.6 times, compared with 1.2 times for non-payers. Their return on equity is nearly 18 per cent, compared with barely 1 per cent. They also have nearly zero debt. The dividend didn't create any of this; it reflected it. You can't keep distributing cash unless it is genuinely there.

The chart on the right shows what that financial strength actually means when markets fall. In every major downturn over the past two decades, companies with high and sustained returns on equity held up better than those without. Not because of the dividend itself, but because of the quality that made the dividend possible in the first place.

But here's something important to watch: not every dividend is saying the same thing. A company paying out everything it earns has nothing left to reinvest. No reinvestment means no growth. And this eventually reflects in its stock price, no matter how reliably it's been paying dividends. The combination worth finding is a company that's growing and paying, not just paying.

That's why the Growth Score above 7 is paired with the dividend filter. The payout above 50 per cent identifies the signal. The Growth Score makes sure there's still a growing business behind it. A Quality Score above 7 confirms the financial foundation, while a Valuation Score above 5 stops you from overpaying for the income.

A word of caution

Watch the payout ratio closely. Companies paying out more than 60 per cent of their profits often do so because they don't have good places to reinvest. Limited

A comfortable cushion

While high ROE companies have generally fared well, adding dividends only made things better

Median return (%)		
High ROE	Low ROE	High ROE and high dividends
GFC 2008		
-66.8	-73.3	-47.4
2011 crash		
-28.1	-44.2	-9.6
Aug 2015 to Feb 2016 crash		
-28.2	-36.2	-16.9
Aug 2018 to Feb 2019 crash		
-24.5	-27.4	-9.4
Sep 2019 to Mar 2020 crash		
-18.5	-23.4	-20.3
Aug 2024 to Feb 2025 crash		
-17.8	-22.5	-20.7

Minimum marketcap of ₹100 crore. Companies with a five-year median ROE of >=15 per cent and ROE of >15 per cent in at least four out of previous five FY have been considered for high ROE companies. Companies with a five-year median ROE of <15 per cent and an ROE of >15 per cent in not more than two out of previous five FY have been considered for low ROE companies. Companies with a median dividend payout of >=40 per cent were considered for high dividend payout.

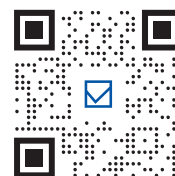
reinvestment means limited future growth, and at some point, that catches up with the stock price.

Valuations need attention too. The market tends to price dependable dividend payers quite generously. Make sure what you're paying still leaves room for actual returns. These are not stock recommendations. Use this list as a starting point for your own research.

The filters

- Market cap > ₹500 cr
- Quality score > 7
- Growth score > 6
- Dividend payout > 50%
- Consistent dividend payment over the last five years

To get the full list, scan the QR code



The complete package

Quality, growth and valuation. Every serious investor will tell you they want all three. It sounds obvious. But here's the interesting part: most investors end up compromising on at least one of them without really realising it. And that compromise costs them returns nearly every time. Let's take each one apart.

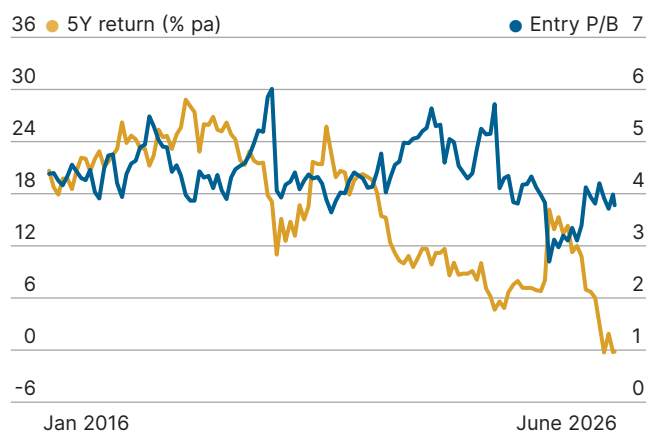
Start by removing growth. Castrol India is a genuinely exceptional business, with a return on capital consistently above 40 per cent, a dominant position in the lubricants market and a brand name that mechanics across India have trusted for decades. It meets every quality criterion you could ask for. And yet, the stock has delivered flat returns for nearly a decade. Revenue has barely moved. The lubricants market has matured. Electric vehicles placed a slow but real ceiling on the business. The quality never left. But quality without growth doesn't compound. It just holds steady.

Colgate faces the same reality in oral care. Despite exceptional margins and a strong brand, the category hasn't grown fast enough to improve earnings meaningfully. These aren't bad businesses. They've just stopped growing.

Now add growth back in. Surely quality plus growth is enough? HDFC Bank gives you the honest answer.

Quality and growth aren't enough

HDFC Bank's return has been on lower side due to higher entry valuations



Five-year rolling returns calculated on a monthly basis. Entry P/B is P/B on the day from which returns were calculated.

Since 2006, the bank delivered a return on equity above 15 per cent every single year except FY26, a record almost no other listed company in India can match. Double-digit profit growth, every year, same period, same single exception. Quality and growth, both present, both sustained across nearly two decades.

So what went wrong? The graph titled 'Quality and growth aren't enough', tells the story. Investors who bought at close to six times book in 2020 and 2021 have seen five years of flat-to-declining returns. Not because the bank got worse; the ROE held steady, and the growth continued. But the price they paid had already reflected everything the bank would deliver. Valuation isn't a separate consideration you get to after quality and growth. It's what decides whether quality and growth actually show up in your returns.

That's the purpose of this screen. All three, every time. Quality alone just maintains. Growth without quality erodes capital. Quality and growth without valuation discipline means waiting years for returns that a more patient entry would have given you far sooner. The real compounding only begins when all three are working together.

A word of caution

Any of these three parameters can change. Quality weakens when competitive advantages erode. Growth slows when markets mature or competition increases. Valuation re-rates when sentiment shifts.

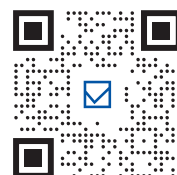
Thus, before acting on any company here, make sure all three are genuinely in place, and think carefully about whether they're likely to stay that way. The screen is just a starting point; understanding each business is your job.

Lastly, do not forget to do your own due diligence and research before making an investment decision. And more importantly, understand what you own.

The filters

- Market cap > ₹500 cr
- Quality score > 7
- Growth score > 6
- Valuation score > 6

To get the full list, scan the QR code



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INTRODUCING
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premium engine oils



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for motorcycles



HYPERDRIVE Series
for 4-wheelers



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for commercial vehicles

SERVO HYPER SERIES - available at IndianOil fuel stations, authorized resellers, and trusted mechanics.

COVER STORY



-60%

is how much IEX has fallen from its all-time high in 2021 after market coupling



₹965 cr

is the net cash balance of KPIT Technologies as at the end of FY26

Quality at panic prices

Company Industry	Stock Rating	M-cap (₹ cr)	PE/PB	Median PE/PB	Quality Score	Growth Score	Valuation Score	Momentum Score
Ashoka Buildcon Construction & Engineering	★★★★	3,616	1.4	4.0	7	7	8	1
BLS International IT Services	★★★★★	10,217	14.9	38.4	10	7	7	3
CE Info Systems Software	★★★	5,225	38.9	69.7	8	7	5	1
CRISIL Credit Ratings	★★★★	28,806	34.3	48.4	10	7	5	2
DAM Capital Investment Banking	★★★★★	1,069	14.7	14.6	10	8	8	1
Gujarat Gas Natural Gas	★★★★	38,284	19.0	26.2	9	7	5	2
HCL Technologies Software	★★★★	3,12,601	18.8	24.2	10	7	7	1
IEX Exchange Services	★★★★★	10,932	22.2	40.6	10	7	6	3
IRCTC Railway Transport	★★★★	40,252	28.9	56.8	9	7	6	1
Infosys Software	★★★★	4,34,202	14.7	26.3	10	7	7	1
KP Energy Construction & Engineering	★★★★	2,215	12.2	19.7	7	8	6	4
KPIT Technologies Software	★★★★	15,371	24.1	58.8	10	8	7	1
Mastek IT Services	★★★★	5,016	12.4	21.7	8	7	8	1
Mrs. Bectors Food Bakery Product	★★★	5,345	37.9	50.5	8	7	4	4
SBI Cards NBFC	★★★★	57,549	3.7	6.5	10	8	6	1
Techno Electric Construction & Engineering	★★★★	12,496	26.4	27.6	8	7	5	3

Data as of July 7, 2026. Price-to-book ratio has been considered for BFSI companies.



-40%

is the de-rating in IRCTC's earnings multiple over the last one year



₹69,327 cr

is the total amount of dividends HCL Tech has paid since FY22

	1Y return (%)	5Y avg ROE (%)	5Y EPS growth (% pa)	
	-38.7	46.5	56.0	Builds and operates highways across India under build-operate-transfer concession agreements
	-31.7	26.4	68.5	Provides outsourced visa processing and consular services to governments as well as for applicants worldwide
	-44.5	25.2	24.4	Develops digital maps and navigation solutions under the 'MapmyIndia' brand for vehicles and enterprises
	-32.6	31.6	18.9	India's largest credit rating agency and a subsidiary of S&P Global, providing ratings, research and risk analytics
	-42.0	25.8	70.5	An investment bank with about 10 per cent market share in India in terms of the number of IPOs executed in FY26
	-40.7	22.4	-2.3	India's one of largest city gas distribution company, supplying natural gas to households, industries and CNG stations
	-32.4	23.0	8.3	India's third-largest IT services company, providing digital, engineering and cloud solutions to global enterprises
	-37.9	44.1	19.2	India's dominant power exchange with over 75 per cent market share in electricity trading volumes
	-36.0	35.3	49.0	The sole authorised platform for online railway ticketing, it also manages railway catering and tourism in India
	-34.1	31.0	9.5	India's second-largest IT company that provides technology services, consulting and digital transformation to global enterprises
	-35.4	32.6	97.0	Provides engineering, procurement and construction services for wind energy projects across the country
	-55.5	25.6	33.9	Provides software and engineering services to global vehicle manufacturers for electric and connected vehicles
	-36.6	24.6	9.1	Provides digital transformation and IT services, with a significant focus on UK government projects
	-35.9	17.7	13.0	Makes biscuits and bakery products under the 'Cremica' and 'English Oven' brands, and supplies buns to major QSR chains
	-33.6	20.6	16.8	India's second-largest credit card issuer, a subsidiary of State Bank of India offering a wide range of card products
	-31.3	11.3	19.8	A leading EPC player in India's power sector, providing engineering and construction services across generation, transmission and distribution

COVER STORY



70%

is how much Solar Industries' order book has grown annually over the last five years



294

is the number of stores Vishal Mega Mart has added since FY22

Growth with substance

Company
Industry

Stock Rating

M-cap (₹ cr)

PE/PB

Median
PE/PB

Quality
Score

Growth
Score

Valuation
Score

Momentum
Score

Apcotex Industries Speciality Chemicals	★★★★★	2,632	26.0	30.1	7	8	5	10
Automobile Corp. Goa Commercial Vehicles	★★★★★	1,383	19.8	28.6	8	9	5	9
Cummins India Diesel Engines	★★★★★	1,50,984	63.9	41.4	10	8	2	10
Force Motors Commercial Vehicles	★★★	24,575	20.3	21.7	9	8	2	6
Garware Hi-Tech Speciality Chemicals	★★★★	16,113	47.6	20.2	9	8	2	10
GE Vernova Switching Equipment	★★★★	1,13,231	91.8	101.7	7	8	1	10
Hindustan Copper Copper Ore	★★★★	47,897	52.1	55.8	8	8	3	8
Hindustan Zinc Zinc Ore	★★★★★	2,25,336	16.3	16.1	10	8	5	5
Indus Towers Telecom Services	★★★★★	99,723	14.0	12.8	9	8	7	4
KP Energy Construction	★★★★	2,215	12.2	19.7	7	8	6	4
Mazagon Dock Shipbuilding	★★★★	1,01,964	39.5	31.3	9	8	4	3
Schaeffler India Ball Bearings	★★★★	64,194	52.8	54.1	9	8	4	6
SJS Enterprises Auto Ancillaries	★★★★	7,027	41.2	28.8	8	8	3	10
Solar Industries Explosives	★★★★★	1,59,593	95.1	74.1	9	9	3	9
Supriya Lifescience Branded Medicines	★★★★★	7,034	33.6	26.1	9	8	3	9
Vishal Mega Mart Supermarkets	★★★	54,642	65.1	84.9	9	8	2	3

Data as of July 7, 2026. Price-to-book ratio has been considered for BFSI companies.



8mn tonnes

is by how much Hindustan Copper plans to expand its capacity by 2031



190%

is the three-year annual return of GE Vernova T&D, adding over ₹1 lakh crore in market cap

	1Y EPS growth (%)	5Y EPS growth (% pa)	Piotroski F-score	
	87.6	18.1	9	India's only manufacturer of nitrile rubber, producing synthetic rubber and latex used in paper, tyres and construction
	50.0	50.0	9	A Tata Motors group company that manufactures sheet metal components, assemblies and bus coaches in Goa
	18.1	30.0	8	An Indian subsidiary of Cummins Inc., manufacturing diesel and natural gas engines and power generation equipment.
	51.3	63.8	9	Manufacturers vans, SUVs and tractors, and engines for BMW and Mercedes-Benz vehicles assembled in India
	2.1	21.8	8	Makes high-margin specialty polyester films, including solar control window films and paint protection films, globally
	102.7	82.9	9	GE Vernova's India subsidiary that makes power transmission and distribution equipment from medium to ultra-high voltage
	97.5	51.5	9	India's only integrated copper producer, with mining, smelting and refining operations spread across India
	33.4	11.4	9	India's largest and the world's second-largest zinc producer, with over 75 per cent share of India's primary zinc market
	-27.8	10.5	8	India's largest telecom tower company, providing shared passive infrastructure to wireless operators across the country
	56.1	97.0	8	Provides engineering, procurement and construction services for wind energy projects across India
	14.4	40.0	8	India's premier naval shipyard that builds submarines and warships for the Indian Navy under government orders
	23.2	28.8	8	The Indian subsidiary of Germany's Schaeffler Group that manufactures bearings, clutch systems and engine components
	41.1	21.3	8	India's leading decorative aesthetics company, supplying dials, badges and decorative components to automotive and appliance makers
	38.7	43.4	8	India's largest manufacturer of industrial explosives for mining and infrastructure; also supplies defence ammunition
	11.3	18.4	8	A leading exporter of active pharmaceutical ingredients, with global leadership in antihistamine and anti-asthmatic APIs
	28.7	67.7	8	A value retail chain with 795 stores selling apparel, general merchandise and FMCG across India

COVER STORY



60%

is the five-year average operating margins of Nippon Life India AMC



20% points

is how much CarTrade's operating margins have expanded over the last five years

Momentum with muscle

Company Industry	Stock Rating	M-cap (₹ cr)	PE/PB	Median PE/PB	Quality Score	Growth Score	Valuation Score	Momentum Score
Acutaas Chemicals Pharmaceuticals	★★★★	28,264	79.3	62.5	8	7	2	10
Avanti Feeds Aquaculture	★★★★★	12,949	21.4	21.7	9	7	5	9
Caplin Point Lab. Branded Medicines	★★★★	19,723	30.8	22.8	8	8	3	8
CarTrade Tech Automobile Dealerships	★★★★	13,108	58.8	70.3	8	7	2	9
CG Power Electrical Machinery	★★★★★	1,42,378	118.0	65.0	10	7	4	10
Eicher Motors Motorcycles	★★★★★	2,07,788	37.7	34.7	10	7	4	8
Happy Forgings Castings & Forgings	★★★★	14,224	47.2	37.5	8	8	4	9
Himadri Speciality Carbon Black	★★★★	33,817	45.0	41.0	8	7	3	9
Neuland Laboratories Pharmaceuticals	★★★★	24,418	67.1	29.0	8	8	2	8
Nippon Life India Asset Management	★★★★	75,539	49.4	31.9	10	8	2	9
Polycab India Wires & Cables	★★★★★	1,42,547	53.3	44.8	10	8	3	10
Sona BLW Auto Ancillaries	★★★★★	41,160	64.3	74.0	9	7	5	8
The Federal Bank Banks	★★★★★	80,955	2.1	1.3	8	8	5	10
Ujjivan Small Finance Small Finance Banks	★★★★★	12,070	1.8	1.5	8	8	6	9
Vadilal Industries Dairy Products	★★★★	4,646	30.0	21.4	8	7	4	9
Welspun Corp Iron & Steel	★★★★	40,339	25.0	14.2	8	7	3	10

Data as of July 7, 2026. Price-to-book ratio has been considered for BFSI companies.



₹4,307 cr

is the total capex done by Polycab over the last five years



11.1 lakh

was Royal Enfield's (Eicher Motors) sales volume in FY26

	1Y return (%)	1Y EPS growth (%)	5Y EPS growth (% pa)	
	206.6	179.4	17.3	Formerly Ami Organics, it manufactures pharmaceutical intermediates and specialty chemicals for pharma, agrochemical and battery industries
	29.8	14.6	11.0	India's largest shrimp feed manufacturer, with integrated hatchery, farming and processing operations across the aquaculture value chain
	27.7	19.6	21.4	A fully integrated pharmaceutical company with a dominant presence in Latin America and Francophone Africa
	61.3	64.3	-14.9	India's largest digital marketplace for vehicles, operating CarWale, BikeWale, OLX India and Shriram Automall
	34.5	20.9	-1.1	A Murugappa Group company manufacturing transformers, switchgear, motors and railway equipment for power and industrial sectors
	34.7	16.4	31.5	Parent of Royal Enfield, the global leader in mid-size motorcycles, and co-owner of VE Commercial Vehicles with Volvo
	53.4	12.6	27.0	India's second-largest producer of commercial vehicle and industrial crankshafts, manufacturing heavy forged components
	33.5	33.7	67.7	India's largest producer of coal tar pitch and a major manufacturer of speciality carbon black and battery materials
	59.1	39.9	35.2	A global CDMO manufacturing active pharmaceutical ingredients and peptides for pharma and biotech companies worldwide
	50.5	18.2	16.7	Manages equity, debt and passive mutual funds as a subsidiary of Japan's Nippon Life Insurance
	41.1	32.2	24.6	India's largest manufacturer of wires and cables, holding about 30-31 per cent of the organised domestic market
	38.6	5.0	31.5	Manufactures precision-forged differential gears and EV traction motors for automotive OEMs worldwide
	52.9	4.1	16.2	A Kerala-headquartered private sector bank with a strong presence in NRI banking and remittances
	27.5	-4.9	136.8	A small finance bank built on microfinance lending, now diversifying into secured retail and housing loans
	20.7	3.2	101.8	A century-old ice cream and frozen foods maker, among India's largest players in the frozen dessert category
	64.3	-15.9	17.7	One of the world's largest manufacturers of large-diameter welded steel pipes for oil, gas and water infrastructure

COVER STORY



133%

is the five-year average ROCE of KSolves, highest among the bunch



₹2,554 cr

is the total amount of dividends Page Industries has paid since FY22

Cash never lies

Company Industry	Stock Rating	M-cap (₹ cr)	PE/PB	Median PE/PB	Quality Score	Growth Score	Valuation Score	Momentum Score
Aldigi Tech BPO Services	★★★★★	1,257	15	19	10	7	7	5
Axtel Industries Industrial Machinery	★★★★★	708	23	31	9	7	5	7
Britannia Industries Bakery Product	★★★	1,31,418	52	55	10	7	4	2
CRISIL Credit Ratings	★★★★★	28,806	34	48	10	7	5	2
Emami Household Products	★★★	18,139	23	31	9	7	5	1
Esab India Welding Machinery	★★★★★	8,774	42	52	8	7	4	8
HCL Technologies Software	★★★★★	3,12,601	19	24	10	7	7	1
Indo Borax Commodity Chemicals	★★★★★	1,305	24	13	8	8	5	10
Ingersoll-Rand Pumps & Compressors	★★★★★	13,756	54	47	8	7	3	8
Kennametal India Machine Tools	★★★★★	6,161	44	48	9	8	4	9
KSolves India Software	★★★★★	688	20	29	8	7	6	6
Metro Brands Footwear	★★★	28,574	69	82	10	7	3	3
Nippon Life India Asset Management	★★★★★	75,539	49	32	10	8	2	9
Nirlon Real Estate	★★★★★	5,604	16	21	10	7	5	10
Oracle Financial Financial Technology	★★★★★	96,885	37	23	10	7	3	9
Page Industries Readymade Garment	★★★★★	47,142	62	76	10	7	3	6

Data as of July 7, 2026. Price-to-book ratio has been considered for BFSI companies.



-24 days

is the average working capital cycle of Britannia industries in the last 10 years



96%

is the average dividend payout ratio of Oracle Financial over the last five years

	5Y avg ROE (%)	Div. payout (%)	Div. yield (%)	
	22.3	82.3	7.3	Formerly Allsec Technologies, it provides BPO, customer experience management and payroll outsourcing services globally
	23.5	98.6	2.7	Designs and manufactures customised processing equipment and turnkey plants for the food, pharmaceutical and chemical industries
	56.5	82.9	1.7	A leading food company making biscuits, breads, cakes and dairy products under the brand name 'Britannia'
	31.6	58.2	1.5	India's largest credit rating agency and a subsidiary of S&P Global, providing ratings, research and risk analytics
	31.9	54.1	2.4	Makes personal care products under Boroplus, Navratna, Kesh King and Zandu brands
	49.9	55.8	1.3	The Indian subsidiary of Esab Corporation, making welding and cutting equipment and consumables for industrial applications
	23.0	93.7	5.2	India's third-largest IT services company, providing digital, engineering and cloud solutions to global enterprises
	16.5	236.1	9.9	India's largest manufacturer of boric acid and boron-based chemicals, with a plant in Pithampur, Madhya Pradesh
	31.1	94.4	1.7	The Indian subsidiary of Ingersoll Rand, manufacturing industrial air compressors and compressed air solutions for multiple sectors
	14.6	85.5	1.4	The Indian subsidiary of Kennametal Inc., manufacturing tungsten carbide cutting tools and wear-resistant components
	132.5	107.1	3.8	Provides software development services in Big Data, AI/ML, Salesforce and Odoo to global enterprise clients
	19.8	155.3	0.3	One of India's largest footwear specialty retailers, operating Metro, Mochi and Walkway along with partner brands like Crocs and Skechers
	28.6	89.7	1.8	Manages equity, debt and passive mutual funds as a subsidiary of Japan's Nippon Life Insurance
	38.9	107.4	4.8	Owns and manages Nirlon Knowledge Park, a 23-acre IT and technology campus in Goregaon East, Mumbai
	29.2	131.9	3.6	India-listed Oracle subsidiary, providing core banking and financial software to banks and financial institutions globally
	45.5	137.7	1.3	An exclusive Indian licensee of Jockey International, manufacturing and selling innerwear and leisurewear nationwide

COVER STORY



4.6%

is the decline in PFC's gross NPA over the last five years bringing it down to 0.6 per cent



₹2.4 lakh cr

is the total operating cash flow general by Coal India in the last 10 years

The complete package

Company Industry	Stock Rating	M-cap (₹ cr)	PE/PB	Median PE/PB	Quality Score	Growth Score	Valuation Score	Momentum Score
BLS International IT Services	★★★★★	10,217	14.9	38.4	10	7	7	3
Can Fin Homes Housing Finance	★★★★★	12,180	2.0	2.3	10	9	7	8
Coal India Coal & Lignite	★★★★★	2,61,639	8.4	7.1	10	7	9	7
CSB Bank Banks	★★★★★	6,112	1.3	1.6	9	9	7	5
Finolex Industries Plastic Tubes	★★★★★	10,691	17.8	18.8	9	7	7	4
Gandhi Special Iron & Steel	★★★★★	1,059	15.5	14.9	9	7	7	9
HCL Technologies Software	★★★★★	3,12,601	18.8	24.2	10	7	7	1
HDFC Bank Banks	★★★★★	12,88,629	2.2	3.0	9	7	7	1
Infosys Software	★★★★★	4,34,202	14.7	26.3	10	7	7	1
KPIT Technologies Software	★★★★★	15,371	24.1	58.8	10	8	7	1
LIC Housing Housing Finance	★★★★★	29,978	0.7	0.9	10	7	8	5
Maithan Alloys Ferro Alloys	★★★★★	2,951	6.8	5.7	8	7	8	6
Mastek IT Services	★★★★★	5,016	12.4	21.7	8	7	8	1
Natco Pharma Pharmaceuticals	★★★★★	17,075	12.0	15.8	10	7	7	5
PFC NBFC	★★★★★	1,37,136	1.0	1.0	10	7	7	7
Repcos Home Housing Finance	★★★★★	2,640	0.7	0.7	10	7	8	7

Data as of July 7, 2026. Price-to-book ratio has been considered for BFSI companies.



₹3.2 lakh cr

is the total loan portfolio of
LIC Housing Finance



₹40,700 cr

is the total amount spent by Infosys on
buybacks in the last five years

	5Y avg ROE (%)	5Y revenue growth (% pa)	5Y EPS growth (% pa)	
	26.4	44.4	68.5	Provides outsourced visa processing and consular services to governments as well as for applicants worldwide
	18.3	16.0	18.9	A housing finance company promoted by Canara Bank, focused on retail home loans to salaried and self-employed borrowers
	46.5	10.4	19.6	India's dominant state-owned coal miner, it accounts for about 80 per cent of the country's total coal production
	16.7	19.2	23.7	A Kerala-headquartered private sector bank, formerly Catholic Syrian Bank, with a strong focus on gold loans and NRI banking
	17.4	3.5	-4.0	India's largest manufacturer of PVC pipes and fittings, with backward integration into PVC resin production
	25.4	11.1	15.0	The company manufactures precision steel and fuel-injection tubes for automotive OEMs and engineering companies
	23.0	11.5	8.3	India's third-largest IT services company, providing digital, engineering and cloud solutions to global enterprises
	16.6	22.1	11.3	India's largest private sector bank by assets, offering retail, wholesale and housing finance following its 2023 merger with HDFC Ltd
	31.0	12.2	9.5	India's second-largest IT company that provides technology services, consulting and digital transformation to global enterprises
	25.6	26.0	33.9	Provides software and engineering services to global vehicle manufacturers for electric and connected vehicles
	13.5	13.4	13.4	India's largest housing finance company, promoted by LIC, providing home loans and loans against property
	21.7	6.0	13.4	A leading Indian manufacturer and exporter of manganese-based ferro alloys used in steelmaking
	24.6	16.5	9.1	Provides digital transformation and IT services, with a significant focus on government projects in the UK
	17.0	14.7	26.8	A vertically integrated pharmaceutical company known for generic oncology drugs and active pharmaceutical ingredients
	28.1	10.0	17.1	A government-owned NBFC providing long-term loans to India's power generation, transmission, and distribution projects
	12.6	5.4	9.6	A housing finance company promoted by Repco Bank, providing home loans mainly across South and Central India

India is spending more

Why a consumption ETF is the cleanest way to own India's rising household spending

Every investor in India has an intuitive understanding of the consumption story. They see it in the queues outside new restaurants, in the airport terminals bursting at their seams, in the Maruti Swift that has replaced the bicycle in the villages their parents grew up in.

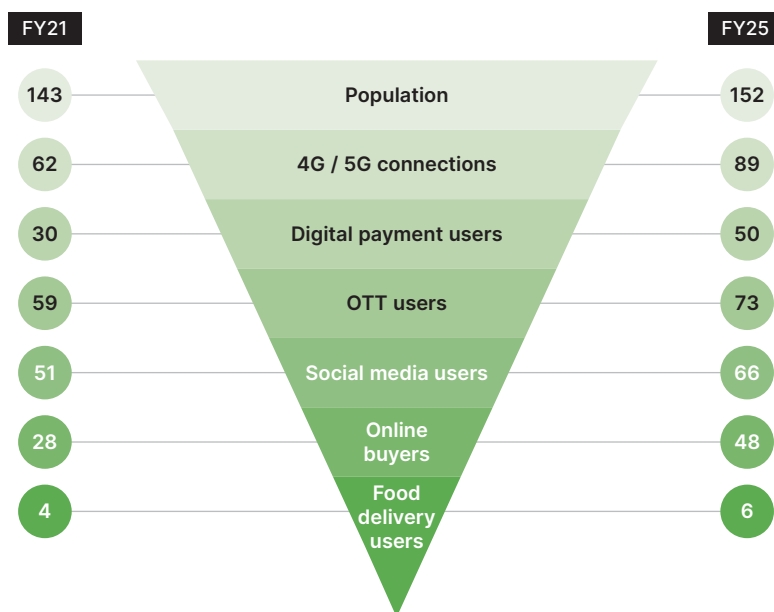
India is getting richer; Indians are spending more, and the categories they spend on are shifting from necessities toward aspirational goods, experiences and services that, a generation ago, were luxuries.

The story nobody gets right

The consumption sector in India is deceptively simple on the surface and genuinely complex underneath. It spans FMCG companies selling biscuits in rural areas, airlines flying newly minted middle-class passengers to Goa, telecom operators providing data to millions of smartphones, automobile manufacturers selling everything from tractors to luxury SUVs, paint companies riding the home improvement wave and jewellers capturing the aspirational shift from gold bars to branded jewellery.

The India opportunity funnel

How India's digital consumer base has deepened across every layer since FY21



All figures are in crore. Source: WhiteOak Consumption Fund investor presentation.

That breadth is precisely what makes stock-picking in this sector so punishing. Brand cycles shift without warning, the FMCG leader of one decade gets disrupted by a D2C startup in the next. A telecom

company that looked invincible gets destroyed by a price war. A paint company that seemed to have an unbreachable moat faces a new entrant with deep pockets and a willingness to lose money for years.

When markets fall, consumption holds

Consumption outperformed the broader market in nearly every difficult year

	2007	2008	2009	2010	2011	2012	2013	2014	2015
Nifty 500 TRI (%)	64.6	-56.5	91.0	15.3	-26.4	33.5	4.8	39.3	0.2
Nifty India Consumption TRI (%)	39.3	-42.6	53.0	23.0	-9.4	39.3	10.8	31.5	9.0

The Nifty India Consumption Index sidesteps this problem by changing the question. Instead of “Which consumption company will win?” it asks “Will Indian consumers spend more over the next decade?”

Tailwinds are converging

India’s per capita income has crossed \$2,500, a threshold that, in China’s case, preceded a sharp and sustained acceleration in discretionary spending. The non-food share of private consumption expenditure has already risen from 56.1 per cent in FY14 to 64.2 per cent in FY24, as households direct more of each incremental rupee toward wants rather than needs.

What makes the current moment particularly interesting is that a simultaneous policy push is amplifying the usual structural tailwinds. Income tax relief, GST rationalisation, RBI rate cuts, state welfare schemes, and the anticipated 8th Pay Commission together represent an estimated consumption stimulus of ₹11.7 lakh crore.

What the index holds

The Nifty India Consumption Index draws 30 stocks from the Nifty 500, selecting only companies that derive more than 50 per cent of their revenues from domestic consumption. Individual stocks are capped at 10 per cent. The result is a

portfolio that spans FMCG, automobiles, consumer services, consumer durables, telecom, power, realty, and healthcare, all sectors whose revenues ultimately trace back to what Indian households choose to spend on.

One dimension of the consumption index that is underappreciated is its behaviour in market downturns. In the 2008 Financial Crisis, the Nifty India Consumption Index fell 43 per cent: painful, but substantially less than the Nifty 500’s 57 per cent decline. In the 2020 Covid crash, the index fell 26 per cent against the Nifty 500’s 37 per cent. Consumer demand, particularly for essentials, is less sensitive to financial market stress, interest rate cycles, and global economic shocks than most other sectors.

The case for the index

The consumption sector has one quality that distinguishes it from most others: its strongest companies tend to be extraordinarily durable, but picking which company endures is extraordinarily difficult.

Hindustan Unilever has spent decades as the undisputed leader in FMCG and has also spent extended periods significantly underperforming the broader

market. Being right about FMCG, paints, or automobiles as categories has not automatically meant being right about the leading company in each.

The consumption index holds all of them: leaders and challengers, staples and discretionary, urban and rural plays. When a new entrant disrupts an incumbent, the index absorbs both. When the category rotates from staples to discretionary, as happens when incomes rise, the index rebalances to reflect it.

The story that writes itself

Consumption investing is not without its own vulnerabilities. Rural demand is sensitive to monsoon performance and food inflation. Urban consumption, while more resilient, remains exposed to interest-rate cycles and employment conditions.

However, India’s consumption growth does not require a precise forecast of which company captures it. It requires only the conviction that more Indians will earn more, spend more, and spend differently over the next two decades than they do today.

The consumption index is the instrument that translates that conviction into a portfolio without requiring anyone to bet on a single brand, management team or sub-category. ☑

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
● 5.1	● 37.7	● -2.1	● 9.0	● 17.9	● 31.6	● 4.2	● 26.9	● 16.2	● 7.8
● -1.3	● 46.7	● -1.1	● 0.6	● 20.5	● 20.8	● 8.5	● 28.0	● 19.8	● 9.2

The invoice that AI rewrites

Indian IT is entering its most heterogeneous phase, where whether a company adapts decides its fate

For nearly two decades, the BSE IT index built some of the largest fortunes in Indian equities. That reputation has taken a beating over the last year. The index has fallen by around 29 per cent over the last 12 months, making it one of the worst-performing sectoral indices over both the last five and 10 years. Stock prices now imply the sector will grow at 0-2 per cent a year, well below the 6-7 per cent it delivered before the pandemic. The market has decided the model is broken.

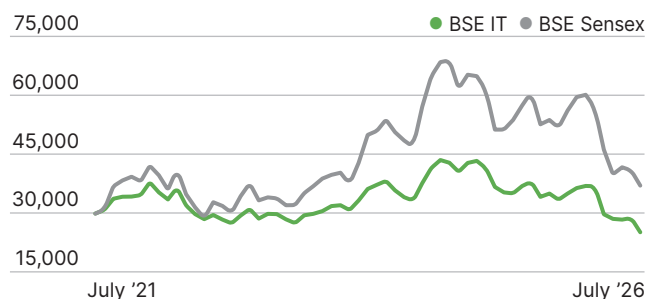
Billed by the person

For 30 years, Indian IT sold time. Global enterprises outsourced complex technology work, and IT companies staffed it with engineers, billing by the number of people deployed. Artificial intelligence automates a large share of that work directly. When a contract that once required 500 engineers needs 300, revenue drops by 40 per cent overnight, even though the underlying work still gets done. Sector revenue growth has already collapsed from the high teens during the pandemic years to roughly 2 per cent today. This is not a slowdown in the usual sense. It is a change in how the work gets billed.

It has been here before

This is not the first time the obituary has been written for Indian IT. Digital transformation raised the same fears in 2013. Cloud computing did the same in 2017-18. Both times, legacy work shrank and eventually

Index movement



Sakshi/AI-generated image

became a small share of a much larger revenue pie built from the disruption itself. What sets this cycle apart is that AI is the first disruption to hit the core billing model of IT services directly, rather than shifting where the work sits. This one changes how many people it takes to deliver the same work, and the replacement cycle for the technology driving it is measured in months, not years.

No need to pick a winner

The natural response to this kind of disruption is to go stock-picking: find the companies adapting fastest and avoid the rest. That is harder than it sounds. Which billing model, client mix, and technology bets end up winning is genuinely difficult to forecast this far in advance, even for those who study these businesses closely.

An index sidesteps that problem entirely. It does not need to identify the one company that gets the transition right. It only needs the sector, in aggregate,

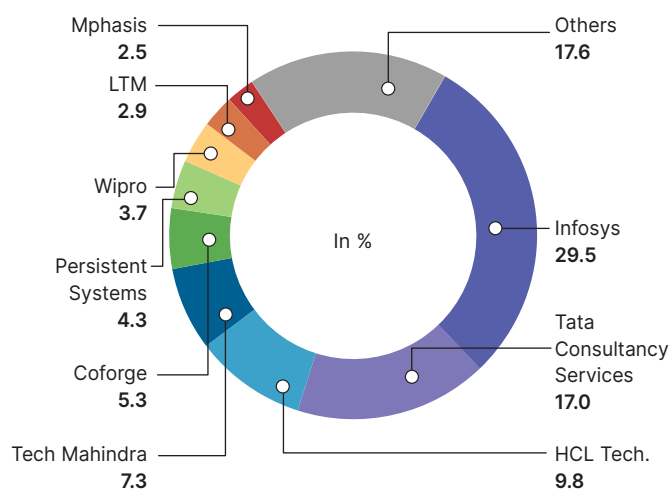
to work through the disruption the way it has before, with new revenue pools eventually replacing old ones.

The honest trade-off

The case for the BSE IT index is the same one that has always applied to indices: broad, low-cost exposure to a sector's eventual outcome, without having to correctly call which company delivers it. That case gets stronger, not weaker, in a period like this, precisely because the sector's near-term future is genuinely uncertain even to specialists.

Valuations have already compressed sharply from their pandemic-era peaks, which lowers the price of being wrong. This transition could still take longer than earlier ones, given how directly it hits the sector's billing model. But that is a risk indexing is well placed to absorb. ☒

Index weights



Company	Market cap (₹ cr)	P/E	P/B	Dividend yield (%)	1Y return (%)
Rashi Peripherals	4,965	17.9	2.5	0.3	153.7
Silver Touch Tech.	2,296	64.3	13.5	0.0	145.0
Netweb Tech.	24,108	117.1	33.3	0.1	136.3
Ramco Systems	3,290	78.6	9.4	0.0	118.8
RateGain Travel	11,226	57.8	5.6	0.0	106.3
Nintec Systems	1,667	52.1	18.2	0.0	94.5
Black Box	17,040	78.3	13.2	0.1	78.6
Infobeans Tech.	1,587	18.3	3.8	0.6	71.6
ASM Tech.	5,815	95.7	18.9	0.3	50.9
BLS E-Services	2,420	42.1	4.6	0.2	38.6

Data as of July 7, 2026

Key numbers

18.9

Price-to-earnings

5.6

Price-to-book

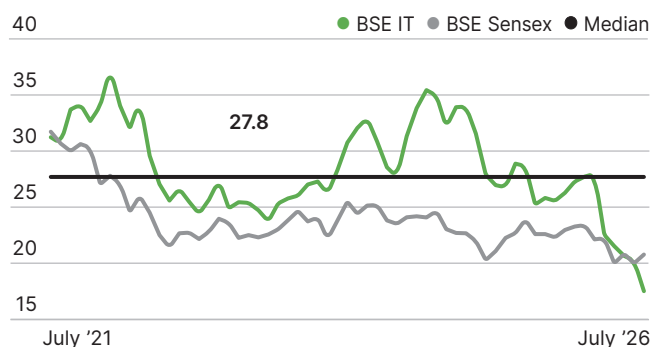
2.3

Dividend yield (%)

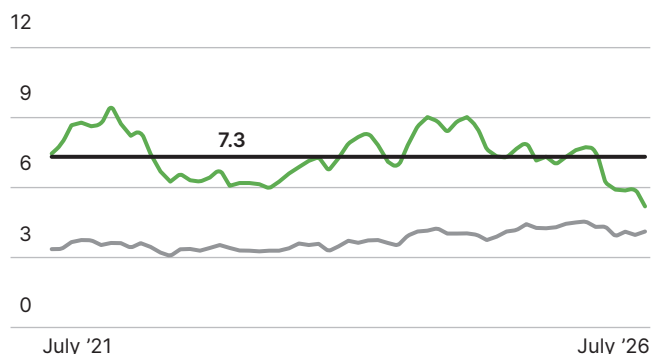
26.6

Market cap (₹ lakh cr)

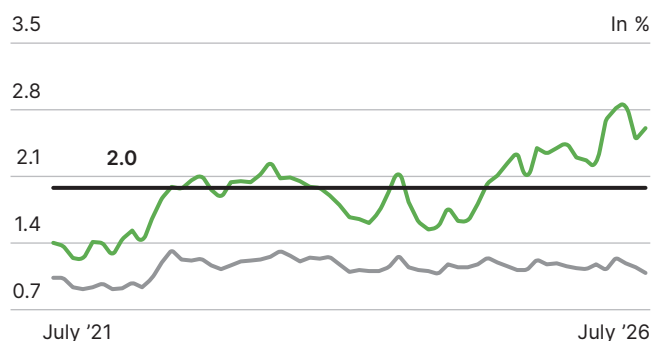
Price-to-earnings ratio (P/E)



Price-to-book ratio (P/B)



Dividend yield



Taming the market *keeda*

He gives the gambler 3 per cent to play with. The other 97 per cent, he barely looks at. Here is why that is exactly the right way round.



**By
Dharendra
Kumar**

Last month I wrote a column titled ‘*Look once a year*’, making the case that a fund portfolio, once assembled with care, is best left largely unwatched. The argument travels well beyond funds, and one reader wrote back to prove it. Pankaj Bajaj, one of our **Stock Advisor** subscribers, said he runs his stock portfolio on precisely that principle, and went on to describe the small system he has built around it. He said he does not even keep his long-term portfolio on a portfolio tracker. He has it on a spreadsheet on his own computer, looks at it once a quarter when results come out and otherwise leaves it alone. That is the whole of his serious investing, and he attends to it four times a year.

Then he told me about the other part. He is, in his own words, a ‘Market *Keeda*’: someone who needs something to watch and react to every day or two, some news to chew on and some position to fiddle with. Rather than pretend this side of himself does not exist, he has given it 3 per cent of his money to play with. With that small sum, he trades daily and weekly, satisfies the urge to do something and reacts to every headline he likes, but none of this touches the 97 per cent who are doing the actual work. He ended with a line I have been turning over since: this is

again quite simple, but equally difficult to follow.

He is right on both counts, and he has independently arrived at something I first wrote about more than a decade ago. Here is what I have come to believe about people who invest in equities. They are, almost to a person, optimists, and most of them also carry a streak of the gambler. If you had neither of those traits, you would keep your money in an FD (fixed deposit) and never dabble in the stock market. So the urge to bet and to act is part of the same temperament that got them into equities in the first place. The question is not how to kill this instinct, only where to let it out.

Years ago, in a column I wrote in 2013, I called the answer ‘fun money’: a fixed, small slice of your capital that you invest without any pretence of being sensible. You may have a supposed reason for the bet or you may not, and you know in your heart it is mostly a gamble. What matters is that it is walled off and capped, and you are honest about what it is. I recommended it, but I confessed I had never done such a thing myself and I thought that the sort of person drawn to fun money would also be the sort who could not keep the wall standing, and who would let the fun leak into the serious money until there was no difference between them. Bajaj’s email is the reply to that old doubt, from a reader who has kept the wall up and told me how.

His system works because of the system he has built around trading. The cap is hard and small. The two things are in different places, one on a tracker he barely opens and one he watches every day. And the frequencies are set correctly, which is the part almost everyone gets backwards. Most investors watch their serious holdings every single day, flinching at every tick and give their speculative punts no thought at all

Here’s what is true about people who invest in equities: they are optimists and carry a gambling streak. The urge to bet and act is part of the same temperament that got them into the stock market. The question is not to kill it, but when and where to let it out.

If you are seeking hot tips or quick multibaggers, Stock Advisor will be disappointing and we say so on our website

beyond hope. Bajaj does the opposite. He watches the 3 per cent, where watching does little harm and leaves the 97 per cent alone, where watching does real damage. Staring at a good investment hourly is one of the surest ways to convince yourself to sell it, because in the short run, the price will always give you some reason to sell. Which brings me to where a service like ours fits into all this, and I want to be clear about it.

Value Research Stock Advisor is built to be the 97 per cent. What we offer is the disciplined core that Bajaj keeps his itch well away from. If you are looking for hot tips, quick multibaggers or something to trade on this week's news, we will be a disappointment, and we say so on our own website.

The way we do that is by rejection before selection. We begin with the entire universe of listed companies and throw most of them out before we admire any of them, and the first filter is governance and quality: a company with the wrong sort of promoter or an unexplained pile of debt is gone before its growth story is ever heard. Only what survives that cull is assessed for its business and its price.

From this, we run three ready-made portfolios (**Long-term Growth, Aggressive Growth and Dividend Growth**), and every month our team reviews each one and tells you, with reasons, if anything needs to change. All of it costs ₹9,990 a year.

The point of paying someone to properly review your portfolio each month is that it frees you from having to watch it yourself.

When you know a competent process is checking the fundamentals every month and will tell you when something has genuinely changed, you no longer need to open the tracker on a Tuesday afternoon to reassure yourself. You can look once a quarter, as Bajaj does, or once a year, as I had been urging in the first place.

That is why I found the email so satisfying. A subscriber had worked out, on his own, the two things most investing advice never manages to hold together: that the gambler in us is real and needs feeding, and that the way you feed him is by keeping him well away from the money that matters most. ☒

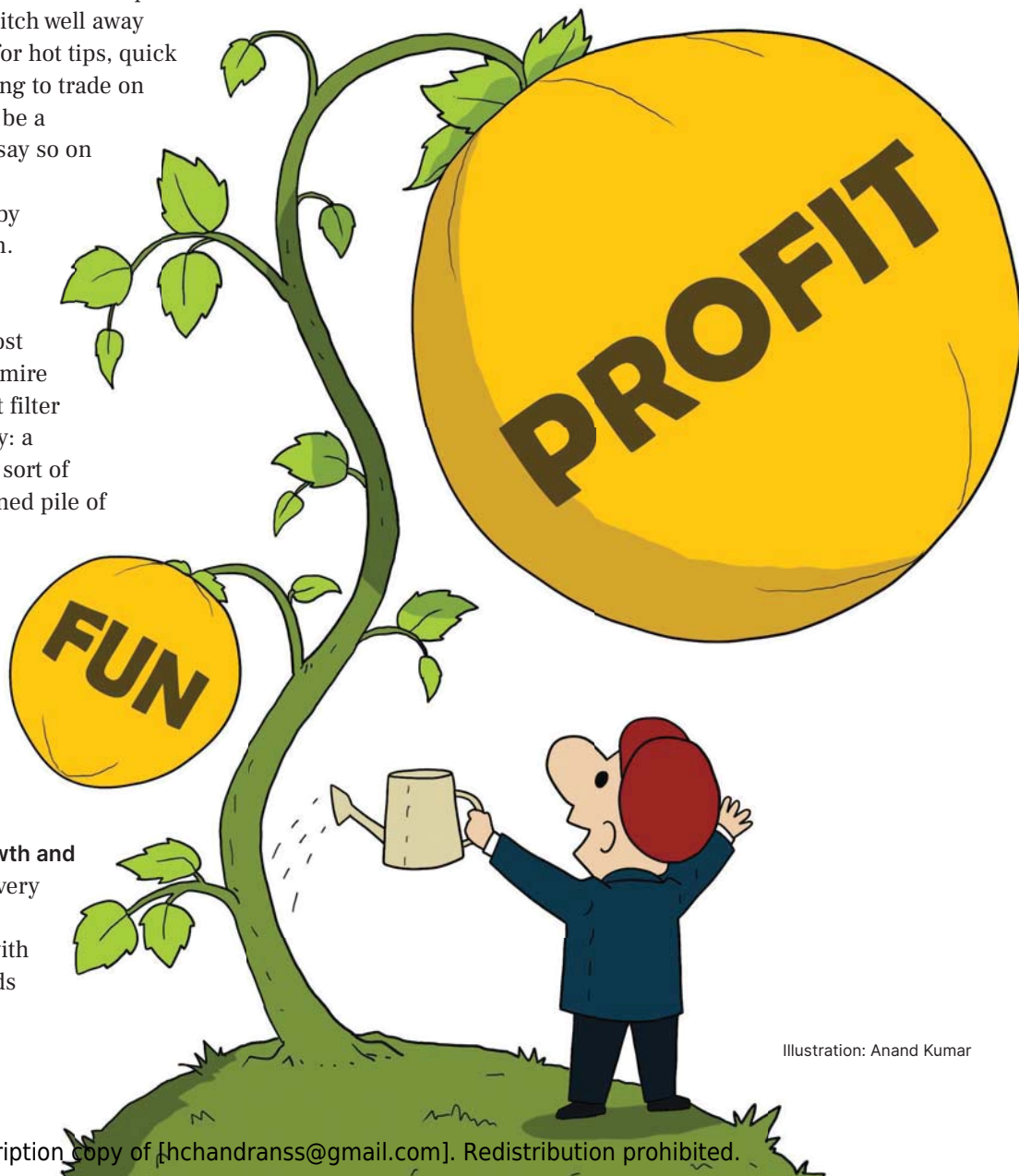


Illustration: Anand Kumar

Rethinking the 2nd innings

A review of '*The Desi Retirement Plan*'



By
**Anand
Tandon**

For decades, personal finance in India has been dominated by one great obsession: accumulation. Investors are taught to save early, invest regularly and stay invested long enough for compounding to do its work.

The systematic investment plan (SIP) has become almost a civic virtue, equity has been cast as the great wealth engine and the journey from modest monthly savings to a substantial corpus is celebrated with near-religious enthusiasm. Yet for all this focus on building wealth, one large gap remains in the financial conversation: very little attention is paid to what happens after the corpus is built. India's investors are taught how to accumulate money, but not how to live off it with confidence.

That omission is precisely what makes Suraj Kaeley's '*The Desi Retirement Plan*' such an important book. It is not simply another retirement guide. It is a corrective to the way retirement is usually discussed in India. Kaeley, a veteran of more than three decades in financial services, brings together industry experience, behavioural insight and hard-nosed practicality to address a subject that is often handled either too casually or too mechanically. His central concern is disarmingly simple: Will your money outlive you, or will you outlive your money?

What makes the book especially relevant is that it does not treat retirement as a numerical milestone. It treats it as a life stage. That is a more demanding and more realistic way to think about the subject. Retirement is not merely about where to invest. It is about health, family obligations, lifestyle choices, emotional preparedness and the ability to remain purposeful when the structure of work disappears. This broader framing matters in India, where retirement is often approached through a

fragmented lens. Many investors reach their late 50s or early 60s with a mix of savings, property, gold, insurance products and a vague belief that things will somehow work out. Kaeley's book asks them to stop relying on optimism and begin relying on design.

Fatal mistakes that derail retirement plans

The book's appeal lies in its structure. Kaeley is not offering a product list, a market forecast or a simplistic rule of thumb. Instead, he is building a retirement architecture. That is a meaningful shift in emphasis. Most retirement conversations in India are reduced to one of three questions: which fund to buy, whether fixed deposits are too conservative or whether annuities are worth considering. Kaeley moves the discussion to a more serious plane. The real question is not what instrument to own, but how the whole system should function over two or three decades.

A major strength of the book is its attention to the mistakes that quietly undermine retirement plans long before retirement begins. One of these is underestimating longevity. Many Indian households still make retirement calculations using the life expectancy of an earlier generation. That is no longer adequate. Medical progress and better living conditions mean that living into one's 80s or even 90s is increasingly plausible. The real danger is not just living longer; it is living longer with rising expenses. People often imagine that costs will fall sharply after retirement. In practice, the opposite can happen. Healthcare expenses rise, discretionary spending on travel and comfort may continue and inflation steadily erodes the value of money. Kaeley's logic is clear: retirement capital should not be judged by whether it grows in rupee terms, but by whether it preserves purchasing power after withdrawals, taxes and emergencies.

Many Indian investors reach their late 50s or early 60s with a mix of savings, property, gold, insurance and a vague belief that things may work out. Kaeley's book asks them to stop relying on optimism and more on design.

Another common mistake is the over-allocation to fixed income. In India, fixed deposits and post office schemes retain enormous emotional appeal because they feel safe. They are familiar, predictable and easy to understand. But nominal safety is not the same as real security. Over long periods, inflation can quietly consume the purchasing power of these assets. What appears conservative can actually become risky if it leaves the retiree with negative real returns. Kaeley's point is not that fixed income has no place in a retirement plan. It is that it cannot be the whole plan. Retirees need stability, but they also need assets that can grow enough to protect them from the erosion of time.

The book is also sensitive to a distinctly Indian reality: the social cost of family support. In many Indian households, financial success creates obligations rather than freedom. A person who is doing well may be expected to support ageing parents, help siblings, contribute to children's ambitions or step in during family crises. These obligations are deeply embedded in the culture and often feel non-negotiable. But they can also derail a retirement plan if they are not anticipated. Kaeley's framework implicitly acknowledges that retirement cash flows in India are rarely personal only; they are often relational. That makes planning more complex, but also more honest.

Equally important is the book's treatment of tax and withdrawal strategy. Many investors spend their entire accumulation phase learning how to save and invest, yet give almost no thought to how money will be withdrawn later. This is a costly oversight. Retirement is fundamentally different from wealth accumulation. During the working years, market volatility can usually be absorbed because income continues and there is time to recover from setbacks. In retirement, however, the sequence of returns matters enormously. If the market falls sharply in the early years of retirement and withdrawals continue, the corpus can shrink faster than expected.

That is why withdrawal planning is not a technical detail. It is the heart of retirement sustainability.

Kaeley's approach to this problem is practical rather than theoretical. He encourages readers to think in terms of safety, liquidity, and sequencing, rather than relying on hope. He also highlights the importance of estate planning, which is often ignored until it becomes urgent. If a retiree dies without ensuring that investments are accessible to successors, the family can be left with avoidable legal and administrative complications. That, too, is part of retirement planning. The plan should not only support the retiree during life, but also function cleanly after death.

A practical framework for organising retirement finances

A particularly useful part of the book is the way it organises retirement capital into buckets. Instead of dividing the world into 'equity' and 'cash', Kaeley proposes a more thoughtful segmentation of the corpus into income, growth and emergency buckets. The income bucket is intended to cover immediate living expenses for the first few years, using highly liquid, low-volatility instruments. This creates breathing room and shields the retiree from the pressure of selling risk assets at the wrong time. The growth bucket contains assets intended

to beat inflation over the long term, because retirement money still needs to grow to

last. The emergency bucket sits alongside these and serves as a buffer for shocks, especially medical ones, so that long-term assets do not have to be liquidated at distress prices.

This bucket approach is valuable because it reflects how retirees actually experience risk. The biggest mistake in retirement is often

not excessive equity exposure or excessive caution in isolation. It is the failure to distinguish between money needed soon, money needed later and money needed only in emergencies. Once that

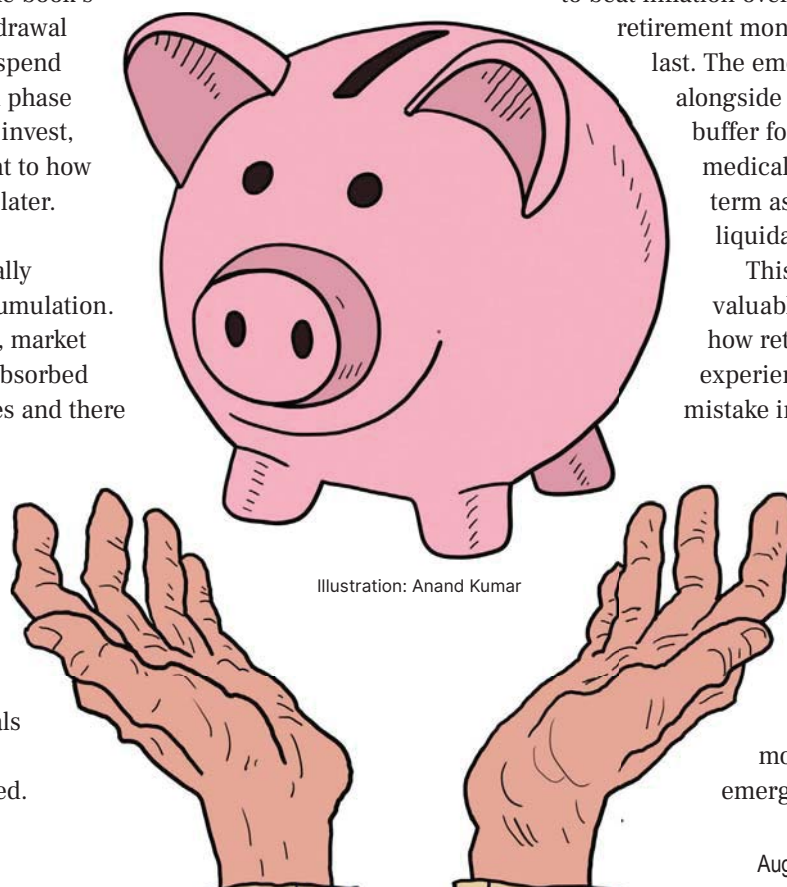


Illustration: Anand Kumar

distinction is clear, portfolio design becomes much more intelligent. The investor is no longer trying to make one pool of money do every job at once.

Navigating healthcare: A three-layer defence

Healthcare receives special attention in the book, and rightly so. In India, medical emergencies are among the most powerful destroyers of retirement wealth. A serious illness can wipe out years of careful planning if the portfolio is not protected properly.

Kaeley's three-layer medical framework is compelling. The first layer is comprehensive health insurance with top-up coverage. The second is a dedicated medical corpus invested conservatively but with some growth potential. The third is a credit line or high-limit credit card that can be used temporarily in an emergency.

The point is not to rely on borrowing forever. The point is to create time and flexibility so that a medical crisis does not force the sale of assets at the worst possible moment. This is the thinking retirement planners often neglect, even though it can make the difference between resilience and permanent capital impairment.

Annual withdrawal rate: A critical predictor

One of the most satisfying parts of the book is its focus on the annual withdrawal rate. Much of global financial literature relies on the famous '4 per cent' rule. Kaeley rightly warns against importing such formulas mindlessly into India. The Indian environment is different: inflation is more volatile, social security is weaker and interest-rate cycles can behave very differently from those in developed markets.

A safe withdrawal rate in India cannot be assumed; it has to be calculated. It must account for life expectancy, portfolio composition, expected inflation and the retiree's ability to tolerate fluctuations. A withdrawal rate that is too aggressive in the early years can become disastrous if markets underperform. Kaeley's insistence on stress-testing retirement assumptions is one of the book's most practical contributions.

The book is notable for treating women's retirement needs as distinct from that of men. Since women generally face career disruptions and live longer than men, their corpus has to last longer.

Addressing gender-specific realities

The book is notable for treating women's retirement needs as distinct rather than merely similar. Women generally live longer than men, which means their corpus has to last longer. They are also more likely to face career interruptions due to caregiving, which can reduce the size of the retirement base during peak earning years. Healthcare needs in later life can also be more complex and prolonged.

These are not peripheral differences; they materially affect retirement planning. By calling attention to them, the book pushes readers toward a more realistic and equitable framework.

Measuring readiness: The *desi* retirement preparedness score

The book closes with the '*Desi* Retirement Preparedness Score', which functions as a kind of readiness check. Its value lies in the mindset shift it encourages.

The question is no longer simply how much has been accumulated, but how well the retirement system has been prepared. That is a more disciplined and more revealing question. A corpus is just a number until it is tested against spending, healthcare, longevity, and behavioural resilience.

Perhaps the most important idea in the book is the one that sits beneath all the others: retirement is not only about money, but about structure. Work gives people routine, identity, social contact and a sense of forward motion. When that disappears, even a financially secure individual can feel unmoored.

Kaeley understands this. His framework therefore extends beyond income and investments to include purpose, relevance, and continued engagement. That is what gives the book its depth. It understands that a successful second innings is not merely one in which the money lasts. It is one in which the person still feels alive to life.

At a time when retirement advice in India often remains product-heavy and planning-light, The *Desi* Retirement Plan offers a more serious alternative. It starts with life goals, cash-flow needs, inflation, longevity, healthcare and behaviour. Only then does it move to investment structure. That sequence matters. Retirement is not solved by owning the best fund or the safest deposit. It is solved by building a system robust enough to withstand uncertainty over many years. On that score, Kaeley's book makes a genuinely valuable contribution. 

The multibagger paradox

Over two decades of market history point to one answer, and four companies show what it looks like



By
**Ashish
Menon**

Open Google Trends, type in ‘multibagger’, and stretch the timeline to its full length. The searches cluster in the months before a market top and dry up after every crash. People look hardest for these stocks at the worst possible moment to be looking, and stop searching just as the moment turns.

Study enough market history and the pattern stops reading as irony. A multibagger is rarely an accident. It comes from a specific arithmetic, found in one part of the market and bought at one point in the cycle. Two datasets carry most of the story: one on where these stocks live, one on when they are born. Four companies from the record show the arithmetic in practice.

Three things drive the return, compounding together: revenue growth, margin expansion and a

re-rating in the multiple the market will pay for that growth. Underneath sit two enablers. A small base keeps rapid growth believable; compounding at 25 per cent a year is far easier from ₹200 crore of revenue than from ₹20,000 crore. Institutional discovery does the rest, as ownership moves from a handful of early value investors to the mutual funds and foreign funds that show up later and pay more.

Where they live

Small companies make better multibaggers. Investors tend to believe this instinctively; it also happens to be true. We studied every rolling 10- and 20-year window from 2000 to 2026 and measured, tier by tier, how often a stock returned 10 times over a decade or a hundred times over twenty years. The probability climbs with every step down the market-cap ladder.

Over 10 years, a large cap has roughly a one-in-a-100 shot at a tenfold return; a nano cap, better than one in seven. Push the bar to a hundredfold over 20 years and the biggest companies fall out of contention altogether: in the median window, not one stock in the top 100 managed it. The mechanics are unforgiving. A large cap that multiplied a hundred times would end up bigger than the market it belongs to. At the top, the sheer size becomes a ceiling.

There is more in the table than the headline gradient. In every tier, on both horizons, the average sits above the median, and the distance between them is largest in the tiers you would expect to be tamest. Large caps over a decade show a median near 1 per cent against an average above 7 per cent; for nano caps the two almost touch. When an average runs well clear of its median, a few unusual windows are doing the lifting while most fall short. So the multibagger opportunity in the large, comfortable tiers is bunched into a few rare moments, while the smallest companies throw up a workable base rate in most years.

One warning travels with these numbers. The advantage of hunting at the very bottom thins out over longer horizons, where nano and micro-cap odds converge. Enough of the smallest companies delist or dilute their way to nothing that a slice of the raw edge

The size edge

Divergence across mean and median is the telling tale that timing matters

Cap tier (market-cap rank)	10-year median (%)	10-year avg. (%)	20-year median(%)	20-year avg. (%)
Large (1 to 100)	1.0	7.2	0.0	0.9
Mid (101 to 250)	5.3	11.4	3.3	5.0
Small (251 to 500)	8.4	13.2	4.8	5.3
Micro (501 to 1,000)	11.0	14.2	7.2	7.3
Nano (1,001 and below)	14.3	16.9	7.2	8.9

Probability that a stock delivered a 10x return over rolling 10-year windows, and a 100x return over rolling 20-year windows, 2000 to 2026 as of financial year end, by market-cap tier

is illusory. The table records the winners; the many small companies that simply failed are not in it.

When they are born

If the size data says where to look, the last four market bottoms say when. The method is plain. For each one, set the return an investor would have needed by 2026 to qualify as an outlier: a hundredfold from 2009, worth 31 per cent a year; fiftyfold from 2012 and 2013, near 32 to 35 per cent; twenty-five-fold from 2016, 38 per cent; tenfold from 2020, 47 per cent a year. The yearly hurdle gets harder as the entry point moves closer to today, and 2020 is set to be the hardest of all.

Three of the four windows produced almost the same result. Roughly one listed company in 10 cleared the bar, whether the starting line was 2009, 2012, 2013 or 2016. An ordinary correction, it seems, leaves behind a fairly steady crop of eventual winners. Then there is 2020: close to one company in three cleared the steepest yearly hurdle in the set. The runway was the shortest of the four, so the



Illustration: Anand Kumar

difference came from the discount on offer at the point of entry.

Buy sound assets at distressed prices and the bounce alone packs years of return into a few quarters.

Four companies, one per vintage, show the forces on the ground.

In 2009 you could buy APL Apollo Tubes for less than five times earnings, on a net margin of half a per cent. The market had decided a structural-steel tubes maker would never earn much. Over the following years everything moved at once: the net margin widened past 5 per cent, revenue compounded at close to 25 per cent a year, and institutions went from holding 9 per cent of the company to more than half. The multiple travelled from under five times earnings to over a 100 and the stock returned more than five hundredfold.

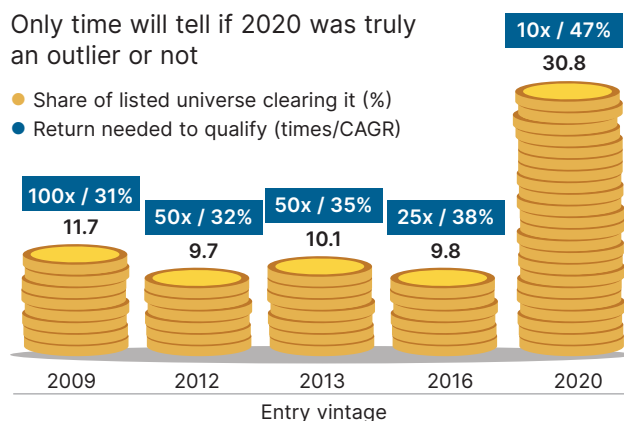
Navin Fluorine, from the 2013 lows, is the more revealing case, because its revenue barely tells the story. Sales grew at a

modest 15 per cent a year while operating profit grew far faster, as the operating margin lifted from 11 per cent to 28. The company was moving on purpose into higher-value molecules, and the market spent years unconvinced the shift would last. It priced the stock at 1.6 times earnings in 2013 and near 74 times by 2026. A re-rating of that size, built on margin rather than headline growth, usually arrives late, once the doubt finally clears.

The panic dividend

Only time will tell if 2020 was truly an outlier or not

- Share of listed universe clearing it (%)
- Return needed to qualify (times/CAGR)



Entry is as of the respective financial year end and measured till 2026 financial year end

The data across three out of the four windows produced nearly identical results. An ordinary correction, it appears, leaves behind a fairly steady crop of eventual winners.

Four survivors, four levers

The most important lever being the opportunity size to grow exponentially

Company (entry year)	Return	Entry to current				Dominant lever
		PE	Net margin (%)	Cap rank	Institutional holding (%)	
APL Apollo Tubes (2009)	>500x	4.7 to 109	0.5 to 5.3	788 to 175	9 to 54	All levers together
Navin Fluorine (2013)	~150x	1.6 to 74	7.8 to 19.6	760 to 237	8 to 51	Margin expansion
KEI Industries (2016)	~50x	12.2 to 45	2.7 to 7.7	639 to 214	20 to 53	Deleveraging and growth
Apar Industries (2020)	~36x	7.9 to 41	1.8 to 4.3	518 to 207	29 to 34	Entry-price discount

Four companies, one from each market bottom, drawn from the historical record to illustrate the levers described. Selected with the benefit of hindsight. Entry is as of the respective financial year end and current is measured till 2026 financial year end.

KEI Industries earns its place here precisely because 2016 offered no crisis at all. It could be bought at 12 times earnings, not one or four, and its operating margin hardly shifted across the whole run. What lifted the stock was ordinary growth alongside a shrinking debt load, with lower interest costs carrying the net margin from under 3 per cent to nearly 8. Its multiple less than quadrupled, the gentlest expansion of the four, which is the point: enter in calm rather than in panic and there is simply less re-rating left to capture.

Apar Industries moved fastest. Out of the 2020 panic it returned about 36 times in roughly six years, quicker than any of the older names. Institutions already owned close to 30 per cent when the window opened and stayed at much the same level throughout, so discovery was largely done before the climb began. The return came down to the price at the door: under eight times earnings, on a business that already earned a high return on capital.

The two edges are one

The two datasets now explain each other. Those elevated averages in the size table are the crisis vintages showing through; take out the 2009 and 2020-type windows and each tier drifts back to its median. What works is holding both conditions together, going small and buying into weakness. Size sets the base rate. Crisis timing is what drags a median outcome up towards the average and it does so most usefully in the small and mid tiers, where the odds of a total loss stay within reason. There is no need to chase the riskiest nano names to catch most of the benefit. The four companies fit the pattern: each ranked somewhere between 500 and 800 at the onset

of the opportunity and between 175 and 240 today. All were born small and climbed. A large cap never had the room.

What the screen cannot see

Two filters are left, and neither yields to arithmetic. The first is capital efficiency caught on the way up, before it peaks. A company earning a middling 10 to 12 per cent on capital, with a believable route to double that, is a story still unpaid for. A company already earning 25 per cent, with little headroom left, is a story the price has finished telling. The second filter is the promoter. A holding period of decades is really a wager on one person's judgment about where to put capital over that whole stretch, and on whether they have the years and the will to keep at it. Lean towards youth and where the second generation of credible leadership is being built, and admit that this is the loosest test of the lot.

None of this reduces to a formula. Plenty of companies fit every line of the description and still go nowhere, and the four here were chosen knowing how their stories ended.

Which brings the argument back to that Google Trends line. The analysis was never the hard part. The hard part is doing something about it when doing so looks ridiculous, buying small and unloved companies in the middle of a market wreck, at the very moment the crowd has stopped searching for them. Over two decades of history keep pointing the same way. The data has done its job; the rest is temperament. ☒

Ashish Menon is a Chartered Accountant (CA), a CFA charterholder and Senior Equity Analyst at Value Research Stock Advisor

Dangers of chasing the next Amazon or Tesla

Why missing a gamble doesn't mean missing an opportunity



By
**Mohammed
Ekramul
Haque**

We often look at how investors chase IPOs that promise untold wealth, overnight fortunes and easy money. And how most investors lose a lot of their money investing this way.

One of our readers asked us, "What about the Amazons and Teslas of the world? The ones that were loss-making for years before becoming giants? What about companies like Zomato? Would **Value Research** recommend them?"

Let's take a closer look at these questions.

To begin with, we agree that companies like Amazon, Tesla and Zomato started with humble origins and went on to become multi-baggers post-listing, delivering massive gains for early investors who held on.

As much as we can easily recall these multibaggers, we tend to forget companies that were as promising as the winners but did not meet the same success as their more famous counterparts. How many of us can remember that while Amazon went on to make history, an online pet food seller, Pets.com, went under?

While Tesla changed the auto industry forever, another promising hybrid car manufacturer, Fisker Automotive, faced several challenges, such as battery recalls, lawsuits and bankruptcy.

Closer home, for a successful Zomato, there were other food delivery startups that failed before they could go public. Among them were TinyOwl, Yumist and Dazo. We could go on with this longer than you would like (hey, remember, the list of failures is always longer than the list of success stories). The point we are trying to make is that the probability of failure of new ventures is quite high, especially for those choking for cash.

Then we live with the survivorship bias. This bias leads us to remember successful outcomes while ignoring or forgetting those that did not do well or did not survive.

Quick test: recall your biggest winners fast. The odds are you can remember them instantly. Now, recall your biggest losing investments. The second list will likely take more time to recall.

Our philosophy at **Value Research** is thus to avoid betting on uncertain outcomes that IPOs often carry. We like companies with a long track record of demonstrated performance, of companies that have gone through the cycle of good and challenging times and still come out on top, managements that we can trust will communicate when tough times are ahead and valuations that are either attractive or in the reasonable range.

Then we have our proprietary list of non-negotiables, which we use to screen out businesses that are not durable, don't have a sufficient track record, are not high-quality, or carry higher operational risks.

These checks ensure we look at stocks that align with our investment philosophy and valuation parameters. That is why you will notice that we have not recommended any of the popular platform IPOs of the past couple of years.

How do you gain from our stringent checks? See, companies and markets are not always up. There are times when the cycle turns for the worse. When companies start seeing downturns or an extended downcycle. That's when we like our recommended companies to be more resilient than their peers, offer downside protection and provide the cushion of dividends or tangible cash flow.

On to the second point, some investors may not want to miss out on those bets, even if it seems like gambling.

Our philosophy at Value Research is to avoid betting on uncertain outcomes that IPOs carry and pick companies with a proven track record, reasonable valuations and management



Illustration: Anand Kumar

Well, that style of investing is not what we do, nor do we recommend it to any serious investor. Look, investing your (or our) hard-earned money should be a systematic, disciplined, process-driven process. It requires research, probability and risk assessment, and should be a repeatable process that yields the same desired results. That is what you will see in many of our stock recommendations. Companies that have excellent track records but have fallen out of favour because of the market's short-term pessimism.

What you will never find us doing is being willing to

take on higher risks that rely on luck, speculation and uninformed bets.

At **Value Research**, we stick with businesses that have already proved themselves: companies that earn steady profits, are run by people we can trust, and have the strength to keep compounding over time. We don't invest in companies that promise the world in their IPOs but have yet to show they can deliver it. ☒

Mohammed Ekramul Haque is a Senior Manager at Value Research Stock Advisor

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Why ₹9 became ₹96

Who wins, who loses and what a long-term investor should do



**By
Advait
Arora**

In the early 1980s, one US dollar bought around ₹9. Today it costs roughly ₹96. Over one working lifetime, the rupee has lost more than 90 per cent of its value against the dollar, yet most Indian investors have never spent a single evening asking why.

This is surprising because the rupee is not just another number flashing on your screen. It influences what you pay for petrol, what a foreign education costs, which sectors outperform in the stock market and ultimately how wealthy you are in global terms. Understanding it is not about predicting tomorrow's rate. It is about understanding one of the biggest forces quietly shaping Indian investing.

Why the rupee keeps weakening

Over long periods, the rupee has weakened against the dollar by roughly 3-4 per cent per year. That is not a sign that something is constantly going wrong. It is largely the result of the way the Indian economy is structured.

Inflation does most of the work. India has generally lived with inflation of around 4 to 6 per cent, while the US has usually been closer to 2 to 3 per cent. When prices in one country rise faster than in another year after year, its currency has to gradually lose value against the other, because otherwise its exports would become steadily more expensive for the rest of the world and would eventually stop selling. Economists call this 'purchasing power parity', though the idea needs no jargon at all. The currency of the higher inflation country weakens over time, roughly by the gap between the two inflation rates.

The trade deficit does the rest. India buys more from the world than it sells. Crude, electronics and gold have to be paid for in dollars every day, and software exports plus remittances cover a large part of

that bill but rarely all of it. The gap has to show up somewhere and it shows up in the exchange rate.

The winners

The most obvious beneficiaries are IT companies. TCS, Infosys and much of the software industry earn revenue in dollars while paying most of their costs in rupees, so when the rupee moves from ₹90 to ₹96, every dollar of revenue converts into more rupees while the cost base barely changes.

Pharmaceutical exporters enjoy much the same advantage, with revenue coming from overseas while manufacturing stays largely in India.

Exporters like chemical companies or auto component makers benefit too. Ask any exporter whether they track the rupee. Most will not quote exchange rate theory. They will simply tell you that enquiries pick up a little when the currency weakens, because their quotes suddenly look cheaper to a foreign buyer without anyone touching a price list.

Remittance households gain as well. India receives well over \$100 billion of remittances a year, the largest such inflow in the world and every fall in the rupee converts those dollars into more rupees at home.

The losers

It is a no-brainer that oil is usually the first casualty. India imports nearly 85 per cent of the crude it consumes, priced in dollars, so a weaker rupee makes every barrel costlier even when global oil prices have not moved. The effect then spreads across fuel, transport, paints, tyres and chemicals.

Airlines face a harder version of the same problem. Aircraft leases and fuel are dollar expenses while tickets are sold in rupees and that mismatch has troubled Indian

Over long periods, the rupee has fallen 3-4 per cent against the dollar every year. That isn't a sign that something's wrong but the result of how the Indian economy works. Factors such as a higher inflation rate and trade deficit have contributed to the same.

aviation for as long as anyone can remember.

Then come companies carrying foreign-currency debt, and these are the quiet ones. A business that borrowed \$500 million at ₹75 still owes the same dollars at ₹96, but the rupee burden has swollen dramatically without a single fresh loan. Several Indian companies discovered this the hard way after borrowing cheaply abroad during years of easy global money.

Households feel it too, usually without connecting it to the currency. Overseas education, imported electronics, foreign travel, all creep up in price and over time, costlier imports leak into everyday inflation as well.

RBI's real job

Many investors believe the Reserve Bank of India (RBI) defends a particular exchange rate. It does not. There is no magical number at ₹95 or ₹100; it is practically not that easy.

What the RBI manages is the pace of the move. Businesses can adjust to a currency that weakens gradually over a year, but a sharp fall inside a few weeks creates panic, imported inflation and a rush for dollars all at once, so the central bank's real job is keeping the journey orderly.

The foreign exchange reserves, typically around \$600-700 billion in recent years, are the main line of defence. When the rupee weakens too quickly, the RBI sells dollars and buys rupees to calm the move, and during periods of heavy inflows it does the opposite and rebuilds the chest. Interest rates, borrowing rules and, in rare situations, special NRI deposit schemes provide backup.

When markets panic

A gradual annual decline is background noise. A sharp fall over a few weeks is a different animal.

2013 remains the most useful example. When the US Federal Reserve signalled that easy money would begin to fade, foreign capital rushed out of emerging markets and the rupee fell from around ₹55 to ₹68 within months.

The sequence tends to repeat. Foreign investors sell both equities and bonds, because their returns are measured in dollars and a weaker rupee eats those returns

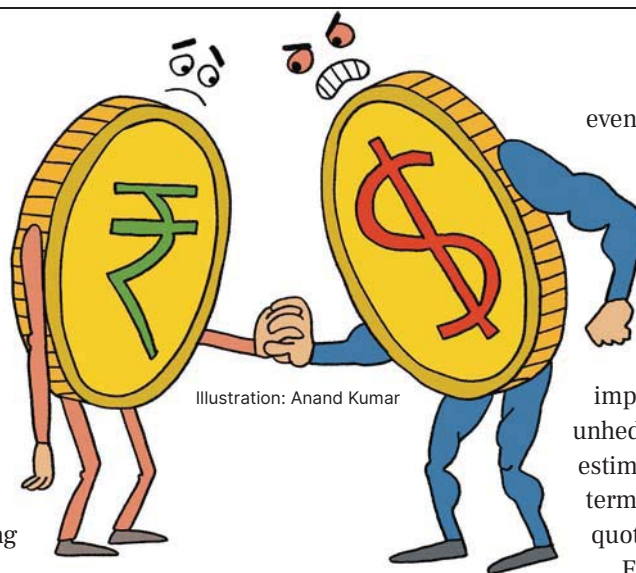


Illustration: Anand Kumar

even when share prices are flat.

Banks, NBFCs, autos and real estate come under pressure as markets price in tighter conditions. IT and pharma usually outperform and cushion diversified portfolios. Companies with imported raw materials or unhedged dollar debt see earnings estimates cut. Gold rises in rupee terms, since international gold is quoted in dollars.

Eventually the panic fades and the market adjusts. But the rupee usually settles at a permanently lower level and very few people ever worry about the old rate again. After 2013, nobody spoke of ₹55 anymore.

What investors should remember

Do not treat a gradually weakening rupee as breaking news. Treat it as a long-term characteristic of the Indian economy, somewhere around 3 to 4 per cent a year, with an occasional ugly year in between.

Nobody knows whether the rupee will be at ₹90 or ₹110 next year and anyone claiming to know is doing nothing but just guessing. In the last 20 years, the direction has been far easier to predict than the path, and that is the only part a long-term investor actually needs.

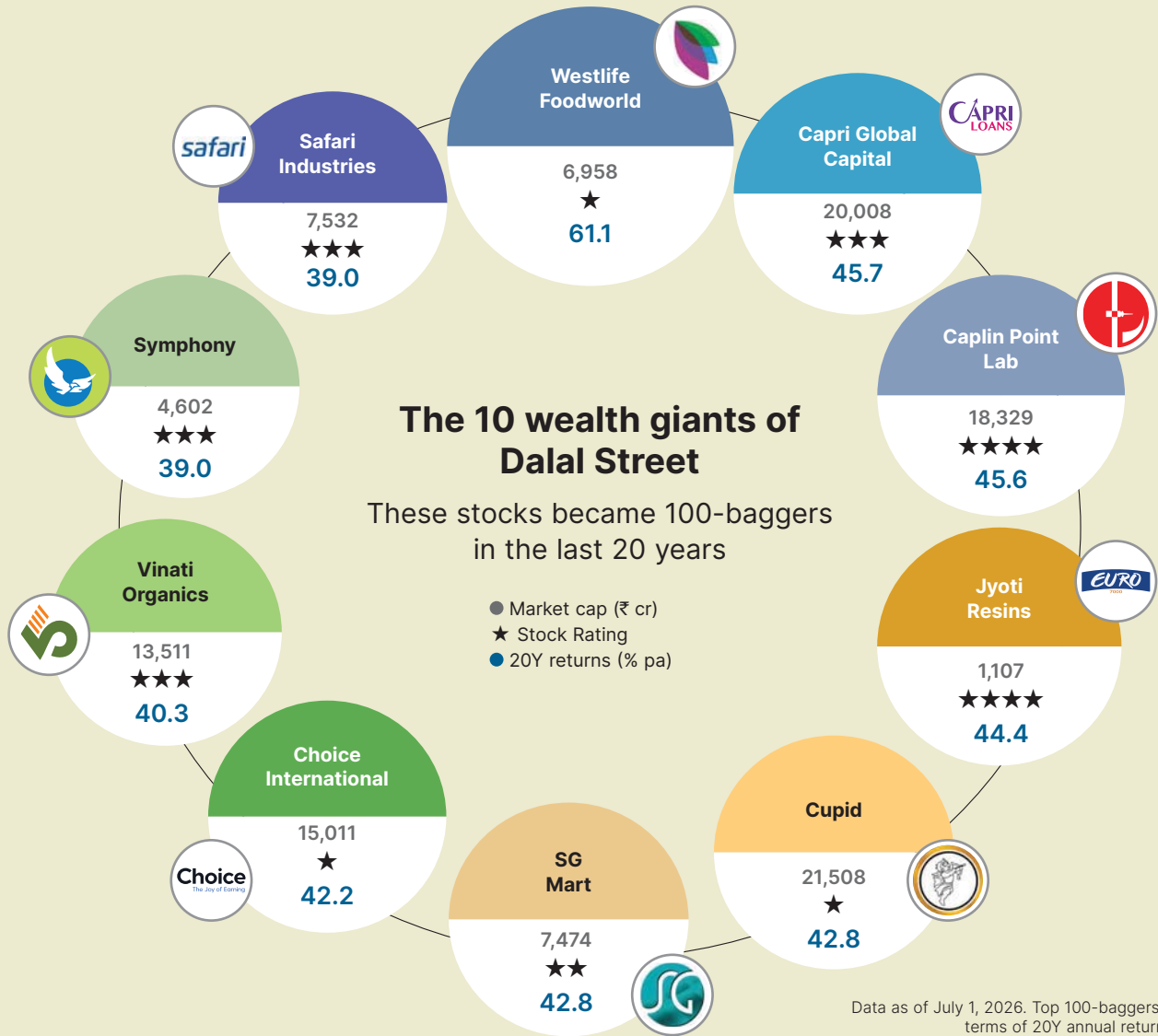
Diversification already provides real protection. A broad Indian portfolio holds businesses that benefit from a weaker rupee alongside those that suffer from it, which is another argument for owning the whole market rather than a single theme.

If a future expense will be in dollars, most commonly a child's overseas education, match that liability with some dollar-linked investments, such as international funds available through the Indian mutual fund route.

And before buying any stock, ask one question: Does this company earn, spend or borrow dollars? The answer will tell you more about the stock than most research reports. The rupee at ₹96 will look cheap 15 years from now, just as ₹60 looks cheap today. The rupee makes headlines for a few weeks every couple of years, then everyone forgets about it until the next record low. ☒

Advait Arora, known famously as 'Wealth Enrich', is an independent investor with over two decades of experience. He also holds a Master's in IT management and an MBA. The views expressed herein are personal and for informational and educational purposes only.

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